

OPERATING AGREEMENT
OF
WINDING SPRINGS INVESTORS LLC
A WYOMING LIMITED LIABILITY COMPANY

THE MEMBERSHIP INTERESTS REPRESENTED BY THIS OPERATING AGREEMENT HAVE NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR SIMILAR LAWS OR ACTS OF ANY STATES IN RELIANCE UPON EXEMPTIONS UNDER THOSE ACTS. THE SALE OR THE DISPOSITION OF THE MEMBERSHIP INTERESTS IS RESTRICTED AS STATED IN THIS OPERATING AGREEMENT, AND AT THE OPTION OF THE COMPANY MAY BE PROHIBITED UNLESS THE COMPANY RECEIVES AN OPINION OF COUNSEL SATISFACTORY TO IT AND ITS COUNSEL THAT SUCH SALE OR OTHER DISPOSITION CAN BE MADE WITHOUT REGISTRATION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND ANY APPLICABLE STATE SECURITIES ACTS AND LAWS. BY ACQUIRING MEMBERSHIP INTERESTS REPRESENTED BY THIS OPERATING AGREEMENT, THE MEMBER REPRESENTS THAT THE MEMBER WILL NOT SELL OR OTHERWISE DISPOSE OF SUCH MEMBERSHIP INTERESTS WITHOUT REGISTRATION OR OTHER COMPLIANCE WITH THE AFORESAID ACTS AND THE RULES AND REGULATIONS ISSUED THEREUNDER.

OPERATING AGREEMENT OF WINDING SPRINGS INVESTORS LLC

THIS OPERATING AGREEMENT is made and entered into as of September 10, 2025 (the "Effective Date"), and is by and among the undersigned Members and Manager.

W I T N E S S E T H:

WHEREAS, the Members formed a limited liability company under and pursuant to the Wyoming Limited Liability Company Act, Title 17, Chapter 21, Section 101, et seq., as amended from time to time to conduct certain business as a limited liability company, and to set forth their mutual rights and obligations in this Agreement.

NOW, THEREFORE, in consideration of the mutual promises, covenants and undertakings hereinafter contained, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the Members hereto agree as follows:

ARTICLE 1: GENERAL

1.1 Formation. The Members hereby form a limited liability company under and pursuant to the Act, subject to the terms and conditions set forth in this Agreement.

1.2 Name. The name of the Company is Winding Springs Investors LLC. The Company may adopt and conduct its business under such assumed or trade names as the Manager may from time to time determine. The Company shall file any assumed or fictitious name certificates as may be required to conduct business in any state.

1.3 Authorized Person. Carlos Salguero is hereby designated as an "authorized person" within the meaning of the Act, and he shall have the authority to execute, deliver and file the Articles of Organization of the Company with the Secretary of State of the State of Wyoming. Upon the filing of such documents with the Secretary of State of the State of Wyoming, his powers as an "authorized person" ceased, and the Manager thereupon became the designated "authorized person" and shall continue as the designated "authorized person" within the meaning of the Act.

1.4 Purpose. The purpose of the Company is to:

(a) acquire, own, transfer, sell and otherwise deal with its limited liability company membership interests in Winding Springs Investors LLC, a Wyoming limited liability company ("**Property Company**");

(b) enter into, exercise its rights, and perform its obligations under the Operating Agreements of Property Company (the "Property Company Operating Agreement") dated on or about the date hereof; cause the Property Company to own, hold, service, manage, develop, improve, operate, maintain, lease, finance, refinance, mortgage, market, promote, sell and otherwise deal in real and personal property interests pertaining to the real property related to that certain apartment complex consisting of no less than one hundred eighty (180) apartment units located at the multi-family project named Winding Springs, including, without limitation, the land, fixtures, tangible personal property, intangible property and all rights in and to the tenant leases, and tenant deposits, collectively, relating and affixed to residential units located at 1101 Nicholas St. Elizabethtown, County of Hardin, State of Kentucky (the "Property"), which is legally described on **Exhibit E** attached hereto, and such other real

property as the Property Company may acquire;

(c) engage in all activities and business related to the foregoing for investment purposes, and to engage in all activities necessary, customary, convenient, or incidental thereto.

1.5 Principal Office. The principal executive office of the Company shall be at 9360 Federal Boulevard, Federal Heights, Colorado 80260 or at such other place within or without the State of Wyoming as may be approved by the Manager.

1.6 Term. The term of the Company commenced as of the filing of the Articles with the Wyoming Secretary of State and shall continue until the winding up and liquidation of the Company and its business is completed following a Liquidating Event, as provided in Article 12 hereof.

1.7 Registered Agent. The name and address of the registered agent of the Company for service of process on the Company is Wyoming Registered Agent Services LLC, 32 N. Gould St., Sheridan, WY 82801, c/o agent@wyomingagents.com, Telephone 307-217-4045. In furtherance of the foregoing purposes, the Company shall have the full power and authority to conduct its business as provided by the Act and applicable law.

1.8 Title to Property. All real and personal property owned by the Company shall be owned by the Company as an entity and no Member shall have any ownership interest in such property in its individual name or right, and each Member's interest in the Company shall be personal property for all purposes. The Company shall hold all of its property in the name of the Company and not in the name of any Member.

1.9 Payments of Individual Obligations. The Members shall use the Company's credit and assets solely for the benefit of the Company and no asset of the Company shall be transferred or encumbered for or in payment of any individual obligation of a Member.

1.10 Definitions. As used herein, capitalized terms shall have the meanings indicated in this Section 1.11 or, with respect to capitalized terms herein that do not have meanings indicated in this Section 1.11, the meanings set forth for such capitalized terms in the various Sections of this Agreement:

“Act” means the Wyoming Limited Liability Company Act, Title 17, Chapter 29, Section 101, et seq., as amended from time to time, as amended or superseded from time to time.

“Adjusted Capital Account Deficit” means the deficit balance, if any, in such Member's Capital Account as of the end of the Fiscal Year, after giving effect to the following adjustments:

(a) credit to such Capital Account any amounts which such Member is obligated to restore pursuant to any provision of this Agreement or is deemed obligated to restore pursuant to the penultimate sentences of Regulations §§ 1.704-2(g)(1) and 1.704-2(i)(5); and

(b) debit to such Capital Account the items described in §§ 1.704-1(b)(2)(ii)(d)(4), 1.704-1(b)(2)(ii)(d)(5) and 1.704-1(b)(2)(ii)(d)(6) of the Regulations.

“Affiliate” means, with respect to any Person, (i) any Person directly or indirectly controlling, controlled by, or under common control with such Person, (ii) any Person owning or controlling five percent (5%) or more of the outstanding voting interests of such Person, (iii) any officer, director, or general partner of such Person, or (iv) any Person who is an officer, director,

general partner, trustee, or holder of five percent (5%) or more of the voting interests of any Person described in clauses (i) through (iii) of this sentence. For purposes of this definition, the term "controls," "is controlled by," or "is under common control with" shall mean the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a person or entity, whether through the ownership of voting securities, by contract or otherwise.

"Agreement" means this Operating Agreement, as amended from time to time. Words such as "herein," "hereinafter," "hereof," "hereto," and "hereunder" refer to this Agreement as a whole, unless the context otherwise requires.

"Articles" means the Articles of Organization of the Company and any and all amendments thereto and restatements thereof filed on behalf of the Company with the Wyoming Secretary of State pursuant to the Act.

"Bankruptcy" means, with respect to any Person, a "Voluntary Bankruptcy" or an "Involuntary Bankruptcy."

"Book Value" means, with respect to any Company Property, the Company's adjusted basis for federal income tax purposes, adjusted from time to time to reflect the adjustments required or permitted by Regulation §§ 1.704-1(b)(2)(iv)(d)-(g).

"Breach Amount" has the meaning set forth in Section 10.4.

"Breach Payments" has the meaning set forth in Section 10.4.

"Breaching Member" has the meaning set forth in Section 10.3.

"Business Day" means a day of the year on which banks are not required or authorized to close in Elizabethtown, Hardin County, State of Kentucky.

"Capital Account" means, with respect to any Member, the Capital Account maintained in accordance with Section 2.3 hereof.

"Capital Contribution" means, with respect to any Member, the amount of money and the initial Gross Asset Value of any property (other than money) contributed to the Company with respect to the Membership Interest held by such Member.

"Capital Contribution Percentage" means with respect to an Investor Member, the percentage equivalent of a fraction whose (i) numerator is such Investor Member's Capital Contribution (including, but not limited to, any Additional Required Capital contributed by such Investor Member) and (ii) whose denominator is the Capital Contribution of all Class A Members.

"Code" means the Internal Revenue Code of 1986, as amended, or corresponding provisions of future laws.

"Company" means Winding Springs Investors LLC, a Wyoming limited liability company, or its successors.

"Company Minimum Gain" has the meaning ascribed to "partnership minimum gain" in §§ 1.704-2(b)(2) and 1.704-2(d) of the Regulations.

"Depreciation" means, for each Fiscal Year, an amount equal to the depreciation, amortization, or other cost recovery deduction allowable with respect to an asset for such Fiscal Year, except that if the Gross Asset Value of an asset differs from its adjusted basis for federal income tax purposes at the beginning of such Fiscal Year, Depreciation shall be an amount which bears the same ratio to such beginning Gross Asset Value as the federal income tax depreciation, amortization, or other cost recovery deduction for such Fiscal Year bears to such beginning adjusted tax basis; provided, however, if the adjusted basis for federal income tax purposes of an asset at the beginning of such Fiscal Year is zero, Depreciation shall be determined with reference to such beginning Gross Asset Value using any reasonable method selected by the Manager.

"Effective Date" has the meaning given in the introduction to this Agreement.

"Acquisition Fee" means an aggregate fee of three percent (3%) payable to the Manager based on the purchase price for the Property and shall be paid by the Class A Members (except the Sponsor) in accordance with their Initial Capital investments.

"Financial Rights" means the right to share in Profits and Losses and to receive interim and liquidation distributions from the Company as provided herein.

"Fiscal Year" means (i) the period commencing on the Effective Date of this Agreement and ending on December 31, (ii) any subsequent twelve (12) month period commencing on January 1 and ending on December 31, or (iii) any portion of the period described in clause (ii) for which the Company is required to allocate Profits, Losses, and other items of Company income, gain, loss, or deduction pursuant to this Agreement.

"Governance Rights" means all of each Member's rights as a member in the Company other than Financial Rights and the right to assign such Financial Rights.

"Gross Asset Value" means, with respect to any asset, the asset's adjusted basis for federal income tax purposes, except as follows:

(a) The initial Gross Asset Value of any asset contributed by a Member to the Company shall be the gross fair market value of such asset, as determined by the Manager;

(b) The Gross Asset Values of all Company assets shall be adjusted to equal their respective gross fair market values, as determined by the Manager, as of the following times: (i) the acquisition of an additional Membership Interest by any new or existing Member in exchange for more than a *de minimis* Capital Contribution; (ii) the distribution by the Company to a Member as consideration for a Membership Interest; (iii) in connection with the grant of an interest in the Company (other than a *de minimis* interest) as consideration for the provision of services to or for the benefit of the Company by an existing Member acting in a member capacity, or by a new member acting in a member capacity or in anticipation of becoming a member in the Company; and (iv) the liquidation of the Company within the meaning of Regulations § 1.704-1(b)(2)(ii)(g); provided, however, that adjustments pursuant to (i) and (ii) above shall be made only if the Manager reasonably determines that such adjustments are necessary or appropriate to reflect the relative economic interests of the Members.

(c) The Gross Asset Value of any Company asset distributed to any Member shall be adjusted to equal the gross fair market value of such asset on the date of distribution as determined by the Manager; and

(d) The Gross Asset Values of Company assets shall be increased (or decreased) to reflect any adjustments to the adjusted basis of such assets pursuant to Code Section 734(b) or Code Section 743(b), but only to the extent that such adjustments are taken into account in determining Capital Accounts pursuant to Regulations Section 1.704-1(b)(2)(iv)(m) and paragraph (f) of the definition of Profits and Losses herein or Section 3.2(g) hereof; provided, however, that Gross Asset Values shall not be adjusted pursuant to this paragraph (d) to the extent the Manager determines that an adjustment pursuant to paragraph (b) hereof is necessary or appropriate in connection with a transaction that would otherwise result in an adjustment pursuant to this paragraph (d).

If the Gross Asset Value of an asset has been determined or adjusted pursuant to paragraphs (a), (b), or (d) hereof, such Gross Asset Value shall thereafter be adjusted by the Depreciation taken into account with respect to such asset for purposes of computing Profits and Losses.

"Invested Capital" means, with respect to each Member, its actual funded Capital Contributions, inclusive of the value of the Acquisition Fee due from Class A Members other than the Sponsor, reduced in each case by aggregate distributions to such Member of: (i) Net Cash Flow pursuant to Sections 4.1(b) and (c), and (ii) Net Proceeds of Sale or Refinancing made pursuant to Sections 4.2(b), (c) and (d). Notwithstanding anything herein to the contrary, Invested Capital shall not include a Member's committed, but unfunded, Capital Contribution.

"Class A Members" shall mean all Members listed as Class A Members that have made Capital Contributions to the Company as reflected on Exhibit A attached hereto.

"Class B Members" shall mean all the managerial Members of the Company as reflected on Exhibit A attached hereto.

"Involuntary Bankruptcy" means, with respect to any Person, without the consent or acquiescence of such Person, the entering of an order for relief or approving a petition for relief or reorganization or any other petition seeking any reorganization, arrangement, composition, readjustment, liquidation, dissolution, or other similar relief under any present or future bankruptcy, insolvency, or similar statute, law, or regulation, or the filing of any such petition against such Person which petition shall not be dismissed within ninety (90) days, or, without the consent or acquiescence of such Person, the entering of an order appointing a trustee, custodian, receiver or liquidator of such Person or of all or any substantial part of the property of such Person which order shall not be dismissed within sixty (60) days.

"Issuance Items" has the meaning set forth in Section 3.2(h).

"Liquidating Event" has the meaning set forth in Section 12.1.

"Major Decision" has the meaning set forth in Section 5.5.

"Majority Vote" means the vote of Class A Members holding more than fifty percent (50%) of the total Percentage Interests held by the Class A Members.

"Manager" means the Person appointed by the Members to manage the affairs of the Company pursuant to the provisions of this Agreement. The Person serving as Manager shall be set forth on **Exhibit B** attached hereto. The initial Manager shall be CS3 Management LLC.

"Members" means those Persons set forth on Exhibit A attached hereto as may be hereafter amended, together with any additional Members admitted pursuant to the provisions of this Agreement.

"Member Loan" has the meaning set forth in Section 2.6.

"Member Nonrecourse Debt" has the meaning ascribed to partner nonrecourse debt in § 1.704-2(b)(4) of the Regulations.

"Member Nonrecourse Debt Minimum Gain" means an amount with respect to each Member Nonrecourse Debt, equal to the Company Minimum Gain that would result if such Member Nonrecourse Debt were treated as a Nonrecourse Liability, determined in accordance with § 1.704-2(i)(3) of the Regulations.

"Member Nonrecourse Deductions" has the meaning ascribed to partner nonrecourse deductions as set forth in §§ 1.704-2(i)(1) and 1.704-2(i)(2) of the Regulations.

"Membership Interest" means each Member's interest in the Company, consisting of all of the following: (i) Financial Rights, (ii) Governance Rights, and (iii) the right to assign either the Financial Rights and Governance Rights or both as provided herein.

"Net Cash Flow" shall mean, with respect to the period for which the Net Cash Flow is being determined, (i) all the cash revenues and receipts (including all interest on all Reserve Accounts) generated by the Company of any kind, nature or description other than receipts from or on account of (A) Capital Contributions, (B) proceeds of any loan to the Company, (C) Net Proceeds of Sale or Refinancing, or (D) tenant security and other similar deposits, less (ii) amounts deposited in a Reserve Account and cash expenditures incurred by or for the Company in connection with the ownership and operation of the Property (including, but not limited to, tenant improvement costs, improvement costs, leasing procurement costs, management fees, payments for debt service on outstanding Company indebtedness) during such period (other than cash expenditures (1) paid out of (A), (B) or (C) above or out of any Reserve Account, and (2) for the payment of any distribution made by the Company).

"Net Equity" has the meaning set forth in Section 10.6.

"Net Proceeds of Sale or Refinancing" means the proceeds of a taxable sale received by the Company from the sale of all or any portion of the Property or the proceeds from the refinancing of all or any portion of the indebtedness thereon after (i) the payment by the Company of such indebtedness and all other obligations of the Company to which the Property was subject, (ii) all adjustments, prorations and disbursements for closing costs and expenses, legal fees, transfer taxes, commissions and other similar amounts relating to such sale, and (iii) the establishment of any reasonable reserves in the good faith judgment of the Manager.

"Nonrecourse Deductions" has the meaning set forth in § 1.704-2(b)(1) of the Regulations.

"Nonrecourse Liability" has the meaning set forth in § 1.704-2(b)(3) of the company.

"Option Period" has the meaning set forth in Section 9.4(b).

"Percentage Interest" shall mean a percentage with respect to each Investor Member as set forth on Exhibit A attached hereto. The Percentage Interest of Members thereafter may be adjusted in accordance with this Agreement.

"Permitted Transfer" has the meaning set forth in Section 9.2.

"Person" means any individual, partnership, corporation, limited liability company, trust, or other entity.

"Profits" and **"Losses"** means, for each Fiscal Year, an amount equal to the Company's taxable income or loss for such year, determined in accordance with Code § 703(a) (for this purpose, all items of income, gain, loss, or deduction required to be stated separately pursuant to Code § 703(a)(1) shall be included in taxable income or loss), with the following adjustments:

(a) Any income of the Company that is exempt from federal income tax and not otherwise taken into account in computing Profits or Losses pursuant to this definition shall be added to such taxable income or loss;

(b) Any expenditures of the Company described in Code § 705(a)(2)(B) or treated as Code § 705(a)(2)(B) expenditures pursuant to Regulations § 1.704-1(b)(2)(iv)(i), and not otherwise taken into account in computing Profits or Losses pursuant to this definition shall be subtracted from such taxable income or loss;

(c) In the event the Gross Asset Value of any Company asset is adjusted pursuant to paragraph (b) or (c) of the definition of Gross Asset Value hereof, the amount of such adjustment shall be taken into account as gain or loss from the disposition of such asset for purposes of computing Profits or Losses;

(d) Gain or loss resulting from any disposition of Company property with respect to which gain or loss is recognized for federal income tax purposes shall be computed by reference to the Gross Asset Value of the property disposed of, notwithstanding that the adjusted tax basis of such property differs from its Gross Asset Value;

(e) In lieu of the depreciation, amortization, and other cost recovery deductions taken into account in computing such taxable income or loss, there shall be taken into account Depreciation for such year or other period computed in accordance with the definition of Depreciation herein;

(f) To the extent an adjustment to the adjusted tax basis of any Company asset pursuant to Code § 734(b) or Code § 743(b) is required pursuant to Regulations § 1.704-1(b)(2)(iv)(m)(4) to be taken into account in determining Capital Accounts as a result of a distribution other than in liquidation of a Member's interest in the Company, the amount of such adjustment shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases the basis of the asset) from the disposition of the asset and shall be taken into account for purposes of computing Profits or Losses; and

(g) Notwithstanding any other provision of this definition, any items which are specifically allocated pursuant to Sections 3.2 through 3.4 hereof shall not be taken into account in computing Profits or Losses.

"Property" has the meaning set forth in Section 1.4 hereof and is legally described on Exhibit E hereto, and such other real property as the Company may acquire.

"Property Company" has the meaning set forth in Section 1.4.

"Property Company Operating Agreement" has the meaning in Section 1.4.

"Proposed Transfer" has the meaning set forth in Section 9.4(a).

"Regulations" means the Treasury Regulations promulgated under the Code.

"Regulatory Allocations" has the meaning set forth in Section 3.3.

"Reserve Account" shall mean the amount reasonably set aside by the Company at the discretion of the Manager for the payment of the current liabilities and anticipated expenditures of the Company, including, but not limited to, any amounts set aside for the payment of current or anticipated costs of tenant improvements, leasing commissions and capital improvements.

"Responsible Person" means an individual who is or was an officer, Manager or a Member of the Company or an Affiliate of an officer, Manager or Member of the Company.

"Required Notice" has the meaning set forth in Section 9.4(a).

"Sponsor" means Carlos Salguero individually or a company owned and controlled by him.

"Sponsor Member" means CS3 Management LLC, a Wyoming limited liability company.

"Transfer" or **"Transferred"** means, as a noun, any voluntary or involuntary transfer, sale, pledge or hypothecation or other disposition and, as a verb, voluntarily or involuntarily to transfer, sell, pledge or hypothecate or otherwise dispose of.

"Transferring Member" has the meaning set forth in Section 9.4(a).

"Voluntary Bankruptcy" means, with respect to any Person, the inability of such Person generally to pay its debts as such debts become due, or an admission in writing by such Person of its inability to pay its debts generally or a general assignment by such Person for the benefit of creditors; the filing of any petition or answer by such Person seeking to adjudicate it bankrupt or insolvent, or seeking for itself any liquidation, winding up, reorganization, arrangement, adjustment, protection, relief, or composition of such Person or its debts under any law relating to bankruptcy, insolvency, or reorganization or relief of debtors, or seeking, consenting to, or acquiescing in the entry of an order for relief or the appointment of a receiver, trustee, custodian, or other similar official for such Person or for any substantial part of its property; or corporate action taken by such Person to authorize any of the actions set forth above.

ARTICLE 2: CAPITAL

2.1 Capital Contributions and Percentage Interests. Except as adjusted or revised pursuant to the terms of this Agreement, each Member's Percentage Interest shall equal the percentage set forth for each such Member on **Exhibit A** hereto. Concurrently with the execution and delivery of this Agreement, each Member shall make the Capital Contributions set forth opposite the Member's name on **Exhibit A** attached hereto and incorporated herein by reference. Concurrently with the execution of this Agreement by the Manager and all Members, the Manager shall cause its Affiliate, CS3 Investments, to assign all of its right, title and interest in the Purchase Agreement to purchase the Property to WINDING SPRINGS PROPERTY LLC. Each Member's initial Capital Contribution (other than that of the Sponsor) shall be subject to the Acquisition Fee.

2.2 Additional Capital Contributions. The Manager may determine, in its reasonable judgment, that the Company requires additional capital ("Additional Required Capital") to: (i) complete improvements, (ii) pay operating expenses, or (iii) pay debt service due under indebtedness incurred by the Company. In such event, the Manager shall notify the Class A Members, in writing, of such Additional Required Capital. Each Class A Member shall have the right, but not the obligation, to contribute a portion of any Additional Required Capital equal to the total of such Additional Required Capital multiplied by such Class A Member's Percentage Interest. If all of the Class A Members contribute their proportionate share of any Additional Required Capital, then there shall be no adjustment of any Member's Percentage Interest. If a Class A Member does not contribute all of its proportionate share of any Additional Required Capital (such share being a "Non-Contributed Share", and such Class A Member contributing less than its proportionate share being a "**Non-Contributing Member**"), then the Class A Members who contribute all of their proportionate share of the Additional Required Capital (the "**Contributing Members**") may also contribute the Non-Contributed Share, in which case the Non-Contributed Share shall be divided proportionately among the Class A Members who desire to contribute a portion thereof or as the Contributing Members may otherwise agree. If there is one (1) or more Non-Contributing Member in connection with any raise of Additional Required Capital, then each Class A Member's Percentage Interest shall be adjusted to equal its Capital Contribution Percentage (determined after all Contributions of such Additional Required Capital have been made). If a Member fails to contribute its entire share of any Additional Required Capital within thirty (30) days after it receives written notice of the amount of such share from the Manager, such Member shall be deemed a Non-Contributing Member.

2.3 Capital Accounts. A single Capital Account shall be established and maintained for each Member in accordance with this Section 2.3.

(a) Each Member's Capital Account shall be increased by (i) the amount of any Capital Contributions to the Company; (ii) the amount of any Company liabilities assumed by such Member or which are secured by any property distributed to such Member as determined under Section 752 of the Code; and (iii) the amount of any Profits allocated to such member pursuant to this Agreement and any items in the nature of income or gain that are specially allocated pursuant to Sections 3.2 through 3.4 hereof.

(b) Each Member's Capital Account shall be reduced by (i) the amount of any cash distributed to such Member from the Company; (ii) the Gross Asset Value of any property distributed from the Company to such Member; (iii) the amount of any liabilities of such Member assumed by the Company or which are secured by any property contributed by such Member to the Company as determined under Section 752 of the Code; and (iv) the amount of any Losses allocated to

such Member pursuant to this Agreement and any items in the nature of loss or deduction that are specially allocated pursuant to Sections 3.2 through 3.4 hereof.

(c) No Member shall be under any obligation to make a contribution to restore a negative balance in such Member's Capital Account.

(d) The foregoing provisions relating to the maintenance of Capital Accounts are intended to comply with Regulations § 1.704-1(b)(2)(iv), and (to the extent possible) shall be interpreted and applied in a manner consistent with such Regulation. If the Manager determines that it is necessary or appropriate to modify the manner in which Capital Accounts are computed in order to (i) comply with applicable Regulations, (ii) select any options available thereunder not otherwise specified in this Agreement (including an election under Regulations § 1.704-1(b)(2)(iv)(f) to adjust the Book Values of the Company's assets and Capital Accounts), or (iii) make adjustments that the Members deem equitable or practicable and consistent with the Members' economic interests in the Company, then the Members may make such modification or adjustment or select such option, provided that such action is not likely to have a material adverse effect on any Member.

(e) In the event that all or a portion of any Membership Interest is transferred in accordance with the terms of this Agreement, the transferee shall succeed to the appropriate portion of the Capital Account of the transferring Member.

2.4 No Interest or Right to Withdraw. No Member shall have the right to demand the return of, or otherwise withdraw, his contribution, or to receive any specific property of the Company, except as specifically provided in this Agreement. No Member shall have the right to demand and receive property other than cash in return for his contributions. No interest shall be paid on Capital Contributions or on balances in Capital Accounts.

2.5 Statements of Membership Interests. Within five (5) days after the written request of any Member, the Manager shall provide to such Member a written statement of the particular Membership Interest owned by such Member as of the time the Company makes such written statement. Such statement of Membership Interest shall not be deemed to be a certificated security, a negotiable instrument, nor a bond or stocks, and shall not be a vehicle by which any transfer of any Member's Membership Interest may be effected.

2.6 Loan. The Manager, any Member or any Affiliate of the Manager or a Member may, with approval by the Manager, lend or advance money to the Company. If any such party shall make any loan or loans to the Company or advance money on its behalf (a "Member Loan"), the Member Loan shall not be treated as a contribution to the capital of the Company but shall be a debt due from the Company. The terms and conditions of a Member Loan shall be determined by the Manager. The Member Loan shall be repayable out of the Company's cash and shall bear interest at the rate agreed between the Company and the lending party, which shall be at a market rate as in effect at the date of the loan or advance. None of the Manager, the Members or the Affiliates of the Manager or the Members shall be obligated to make any loan or advance to the Company. All Member Loan shall be paid in full before any distributions of Net Cash Flow are made to the Members pursuant to Section 4.1 and before any distributions of Net Proceeds of Sale or Refinancing are made to the Members pursuant to Section 4.2.

2.7 No Third Party Beneficiaries. The provisions of this Article 2 constitute an agreement among the Members only and are not intended to create any right or interest on behalf of any person who is not a Member or require any Member to make a capital contribution, loan or advance

for the benefit of any Person who is not a Member.

ARTICLE 3: ALLOCATIONS

3.1 Profits and Losses. After giving effect to the special allocations set forth in Sections 3.2 through 3.4 hereof, Profits and Losses for each Fiscal Year shall be allocated to the Members in such a manner that, as of the end of such Fiscal Year, the sum of (i) the Capital Account of each Member, (ii) such Member's share of Company Minimum Gain (as determined according to Regulation § 1.704-2(g)) and (iii) such Member's Member Nonrecourse Debt Minimum Gain (as defined in Regulation § 1.704-2(i)(3)) shall be equal to the respective net amounts, positive or negative, which would be distributed to the Members or for which they would be liable to the Company under the Act, determined as if the Company were to (i) liquidate the assets of the Company for an amount equal to their Book Value and (ii) distribute the proceeds of Liquidation pursuant to Section 4.2.

3.2 Special Allocations. The following special allocations shall be made in the following order:

(a) Minimum Gain Chargeback. Except as otherwise provided in § 1.704- 2(f) of the Regulations, notwithstanding any other provision of this Article 3, if there is a net decrease in Company Minimum Gain during any Fiscal Year, each Member shall be specially allocated items of Company income and gain for such Fiscal Year, (and, if necessary, subsequent Fiscal Years) in an amount equal to such Member's share of the net decrease in Company Minimum Gain, determined in accordance with Regulations § 1.704-2(g). Allocations pursuant to the previous sentence shall be made in proportion to the respective amounts required to be allocated to each Member pursuant thereto. The items to be so allocated shall be determined in accordance with §§ 1.704-2(f)(6) and 1.704-(j)(2) of the Regulations. This paragraph (a) is intended to comply with the minimum gain chargeback requirement in such § 1.704-2(f) of the Regulations and shall be interpreted consistently therewith.

(b) Member Minimum Gain Chargeback. Except as otherwise provided in § 1.704- 2(i)(4) of the Regulations, notwithstanding any other provision of this Article 3, if there is a net decrease in Member Nonrecourse Debt Minimum Gain attributable to a Member Nonrecourse Debt during any Fiscal Year, each Member who has a share of the Member Nonrecourse Debt Minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with § 1.704-2(i)(5), shall be specially allocated items of Company income and gain for such Fiscal Year (and, if necessary, subsequent Fiscal Years) in an amount equal to such Member's share of the net decrease in Member Nonrecourse Debt Minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with Regulations § 1.704-2(i)(4). Allocations pursuant to the previous sentence shall be made in proportion to the respective amounts required to be allocated to each Member pursuant thereto. The items to be so allocated shall be determined in accordance with §§ 1.704-2(i)(4) and 1.704-2(j)(2) of the Regulations. This paragraph (b) is intended to comply with the minimum gain chargeback requirement in § 1.704- 2(i)(4) of the Regulations and shall be interpreted consistently therewith.

(c) Qualified Income Offset. Notwithstanding the above, any Member who unexpectedly receives an adjustment, allocation or distribution described in Regulations §§ 1.704-1(b)(2)(ii)(d)(4), (5), or (6), shall be allocated items of income or gain (including gross income if necessary) in an amount and manner sufficient to eliminate any deficit created in such Member's Capital Account (to the extent it exceeds such Member's obligation to restore such deficit) as quickly as possible, provided that an allocation pursuant to this paragraph (c) shall be made only if and to the extent that the Member would have an Adjusted Capital Account Deficit after all other allocations

provided for in this Article 3 have been tentatively made as if this paragraph (c) were not part of the Agreement. The provisions of this paragraph (c) are intended to comply with the provisions of Regulations § 1.704-1(b), including any amendments or successive regulations thereto and shall be so interpreted.

(d) Gross Income Allocation. In the event any Member has a deficit Capital Account at the end of any Fiscal Year which is in excess of the amount such Member is obligated to restore pursuant to the penultimate sentences of Regulations Sections 1.704-2(g)(1) and 1.704-2(i)(5), each such Member shall be specially allocated items of Company income and gain in the amount of such excess as quickly as possible, provided that an allocation pursuant to this paragraph (d) shall be made only if and to the extent that such Member would have a deficit Capital Account in excess of such sum after all other allocations provided for in this Article 3 have been made as if paragraph (c) hereof and this paragraph (d) were not in the Agreement.

(e) Nonrecourse Deductions. Nonrecourse Deductions for any Fiscal Year or other period shall be specially allocated among the Members in proportion to their Percentage Interests.

(f) Member Nonrecourse Deductions. Any Member Nonrecourse Deductions for any Fiscal Year or other period shall be specially allocated to the Member who bears the economic risk of loss with respect to the Member Nonrecourse Debt to which such Member Nonrecourse Deductions are attributable in accordance with Regulations § 1.704-2(i).

(g) Code Section 754 Adjustment. To the extent an adjustment to the adjusted tax basis of any Company asset pursuant to Code § 734(b) or Code § 743(b) is required, pursuant to Regulations § 1.704-1(b)(2)(iv)(m)(2) or Regulations § 1.704-1(b)(2)(iv)(m)(4), to be taken into account in determining Capital Accounts as a result of a distribution to a Member in complete liquidation of such Member's Membership Interest, the amount of such adjustment to the Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis) and such gain or loss shall be specially allocated to the Members in accordance with their Percentage Interests in the Company in the event Regulations § 1.704-1(b)(2)(iv)(m)(2) applies, or to the Members to whom such distribution was made in the event that Regulations § 1.704-1(b)(2)(iv)(m)(4) applies.

(h) Allocations Relating to Taxable Issuance of Membership Interests. Any income, gain, loss or deduction realized as a direct or indirect result of the issuance of a Membership Interest to a Member (the "Issuance Items") shall be allocated among the Members so that, to the extent possible, the net amount of such Issuance Items, together with all other allocations under this Agreement to each Member, shall be equal to the net amount that would have been allocated to each such Member if the Issuance Items had not been realized.

3.3 Curative Allocations. The allocations set forth in Sections 3.2(a) through (g) and Section 3.4 hereof (the "Regulatory Allocations") are intended to comply with certain requirements of the Regulations. It is the intent of the Members that, to the extent possible, all Regulatory Allocations shall be offset either with other Regulatory Allocations or with special allocations of other items of Company income, gain, loss or deduction pursuant to this Section 3.3. Therefore, notwithstanding any other provision of this Article 3 (other than the Regulatory Allocations), the Manager shall make such offsetting special allocations of Company income, gain, loss or deduction in whatever manner the Manager determines appropriate so that, after such offsetting allocations are made, each Member's Capital Account balance is, to the extent possible, equal to the Capital Account balance such Member would have had if the Regulatory Allocations were not part of the Agreement and all Company items were allocated pursuant to Sections 3.1 and 3.2(h). In exercising its discretion under this Section 3.3, the Manager shall take into account future Regulatory Allocations that,

although not yet made, are likely to offset other Regulatory Allocations previously made.

3.4 Loss Limitation. Losses allocated pursuant to Section 3.1 hereof shall not exceed the maximum amount of Losses that can be allocated without causing any Member to have an Adjusted Capital Account Deficit at the end of any Fiscal Year. In the event some but not all of the Members would have Adjusted Capital Account Deficits as a consequence of an allocation of Losses pursuant to Section 3.1 hereof, the limitation set forth in this Section 3.4 shall be applied on a Member by Member basis and Losses not allocable to any Member as a result of such limitation shall be allocated to the other Members in accordance with the positive balances in such Member's Capital Accounts so as to allocate the maximum permissible Losses to each Member under § 1.704-1(b)(2)(ii)(d) of the Regulations.

3.5 Other Allocation Rules.

(a) Profits, Losses and any other items of income, gain, loss or deduction shall be allocated to the Members pursuant to this Article 3 as of the last day of each Fiscal Year, provided, however, Profits, Losses and such other items shall also be allocated at such times as the Gross Asset Values of Company assets are adjusted pursuant to paragraph (b) of the definition of Gross Asset Value in Section 1.11 hereof.

(b) The Members are aware of the income tax consequences of the allocations made by this Article 3 and hereby agree to be bound by the provisions of this Article 3 in reporting their shares of Company income and loss for income tax purposes.

(c) For purposes of determining the Profits, Losses, or any other items allocable to any period, Profits, Losses, and any such other items shall be determined on a daily, monthly, or other basis, as determined by the Manager using any permissible method under Code Section 706 and the Regulations thereunder.

(d) Solely for purposes of determining a Member's proportionate share of the "excess nonrecourse liabilities" of the Company within the meaning of Regulations § 1.752-3(a)(3), the Members' interests in Company profits are in proportion to their Percentage Interests.

(e) To the extent permitted by § 1.704-2(h)(3) of the Regulations, the Members shall endeavor not to treat distributions of cash as having been made from the proceeds of a Nonrecourse Liability or a Member Nonrecourse Debt.

3.6 Tax Allocations; Code Section 704(c). In accordance with Code Section 704(c) and the Regulations thereunder, income, gain, loss, and deduction with respect to any property contributed to the capital of the Company shall, solely for tax purposes, be allocated among the Members so as to take account of any variation between the adjusted basis of such property to the Company for federal income tax purposes and its initial Gross Asset Value (computed in accordance with paragraph (a) of the definition of Gross Asset Value hereof).

In the event the Gross Asset Value of any Company asset is adjusted pursuant to paragraph (b) of the definition of Gross Asset Value hereof, subsequent allocations of income, gain, loss, and deductions with respect to such asset shall take account of any variation between the adjusted basis of such asset for federal income tax purposes and its Gross Asset Value in any manner under Code Section 704(c) and the Regulations thereunder as determined by the Manager.

Any elections or other decisions relating to such allocations shall be made by the Manager in any manner that reasonably reflects the purpose and intention of this Agreement. Allocations pursuant to this Section 3.6 are solely for purposes of federal, state, and local taxes and shall not affect, or in any way be taken into account in computing, any Member's Capital Account or share of Profits, Losses, other items, or distributions pursuant to any provisions of the Agreement.

ARTICLE 4: DISTRIBUTIONS

4.1 Distributions of Net Cash Flow. After the payment in full of any Member Loan, distributions of Net Cash Flow shall be made from time to time at the discretion of the Manager as follows: eighty percent (80%) to the Class A Members (in proportion to their relative Percentage Interests) and twenty percent (20%) to the Class B Members.

4.2 Distributions of Net Proceeds of Sale or Refinancing. After the payment in full of any Member Loan, and the payment of a fee equal to 1% of the gross proceeds of a Refinance or 2% of the sale price of a Sale paid to the Sponsor, distributions of Net Proceeds of Sale or Refinancing shall be distributed in the following order and priority: Eighty percent (80%) to the Class A Members (in proportion to their relative Percentage Interests) and (ii) twenty percent (20%) to the Class B Members.

ARTICLE 5: MANAGEMENT; OFFICERS

5.1 Management of the Company. Except as otherwise expressly provided in this Agreement, all decisions of the Company shall be made and actions taken at the direction of the Manager. In the event of a Major Decision as provided in Section 5.5, each Member shall vote his or her Membership Interest in his or her individual capacity and without regard to any fiduciary responsibility that he or she might owe to any other Member under this or any other instrument.

5.2 Individual Member Authority. No Member, other than the Manager, has the power to bind the Company as an agent. Any Member acting outside of the scope of the Member's authority granted in this Agreement shall indemnify the Company for any costs or damages incurred by the Company as a result of any such actions taken by the Member.

5.3 Officers. The number of officers of the Company, if any, shall be fixed from time to time by the Manager. Each officer shall hold office until his or her successor shall have been appointed and qualified by the Manager. Officers need not be Members of the Company. Any officer may, at any time and upon thirty (30) days prior written notice to the Manager, resign as an officer, but such resignation shall not affect his or her status, if any, as a Member. The Manager may remove an officer at any time, with or without cause. The officers shall carry out duties as delegated by the Manager or prescribed by the Manager upon appointment by the Manager as provided herein.

5.4 Manager.

(a) General. Subject to the provisions of this Agreement, the management and control of the business affairs of the Company and its assets shall rest with the Manager, who shall have all the rights and powers prescribed herein and those rights and powers necessary or advisable in the discharge of the duties of the Manager under this Agreement and the Act.

(b) Competing Activities. The Manager and its respective members, agents, employees and affiliates may engage or invest in, independently or with others, any business activity of any type or description, including without limitation those that might be the same as or similar to the Company's business and that might be in direct or indirect competition with the Company. Neither the Company nor any Member shall have any right in or to such other ventures or activities or to the income or proceeds derived therefrom. The Manager shall not be obligated to present any investment opportunity or prospective economic advantage to the Company or the Members, even if the opportunity is of the character that, if presented to the Company or the Members, could be taken by any of them. The Manager shall have the right to hold any investment opportunity or prospective economic advantage for its own account or to recommend such opportunity to persons other than the Company or the Members. The Members acknowledge that the Manager and its members and affiliates own and/or manage other businesses, including businesses that may compete with the Company and for the Manager's time. The Members hereby waive any and all rights and claims which they may otherwise have against the Manager and its members and affiliates and any of their officers, directors, shareholders, partners, members, managers, agents, employees, and affiliates as a result of any of such activities.

(c) Powers. Subject to the powers reserved to the Members by this Agreement, the Articles or the Act, and subject to Section 5.5, the Manager may individually, on behalf of and at the cost, expense and risk of the Company, exercise all of the rights and powers set forth in Section 5.4(a) including the following:

- (1) Sign and deliver, in the name of the Company, any contracts or other instruments pertaining to the business of the Company;
- (2) Perform other duties prescribed by this Agreement or the Members;
- (3) Purchase from or through others, contracts of liability, casualty and other insurance which the Manager deems advisable for the protection of the Company or for any purpose convenient or beneficial to the Company;
- (4) Establish bank accounts in the name and on behalf of the Company;
- (5) Manage and control the day-to-day operations of the Company;
- (6) Determine the timing of distributions of Net Cash Flow;
- (7) Negotiate and enter into service contracts on behalf and for the benefit of the Company;
- (8) Incur indebtedness including, without limitation, any Member Loan;
- (9) Form one or more wholly-owned subsidiaries of the Company and conduct the business of the Company, including, without limitation, holding title to the Property, through such subsidiaries;
- (10) Negotiate and enter into lease agreements on behalf of the Company;

Company;

(11) The sale of any of the Property;

(12) Establish the amount of the Reserve Account;

(13) Engage any property management company or Asset Manager on behalf of Company or a Property Company for any Property, and amend or modify any agreement with property management company or Asset Manager; and

(14) Authorize and cause to be performed all other Company actions as may be deemed necessary by the Manager, other than Major Decisions.

(d) Removal of Manager. The Members may, at any time upon a Majority Vote of the Members (other than any Members that are controlled (as that term is used in the definition of "Affiliate") directly by the Manager) remove the Manager upon the occurrence of any of the following events (as determined by a court of competent jurisdiction in a final non-appealable matter):

(1) The Manager commits willful misconduct with respect to its duties as a Manager, and such misconduct has (or could reasonably be expected to have) a material adverse effect on the Company;

(2) The Manager commits a material breach of this Agreement, and such breach is not cured within ninety (90) days of written notice of such breach from a Member; or

(3) Carlos Salguero is convicted of a felony offense.

(e) Effect of Manager Removal. Upon the removal of the Manager, the Manager (in its capacity as the manager of the Company) shall cease to have any management rights with respect to the Company. The removal of the Manager shall have no effect whatsoever on the Manager's right to receive distributions pursuant to Article 4, the status of any Affiliate or principal of the Manager as a Member of the Company, or any membership rights of any Affiliate or principal of the Manager.

(f) Appointment of Substitute Manager after Removal of Manager. Upon removal of the Manager pursuant to Section 5.4(d), the Members may appoint a substitute Manager by a Majority Vote of Members (except that any Members that are controlled (as that term is used in the definition of "Affiliate") directly by the Manager shall not be entitled to participate in such vote). If the Members are unable to obtain the requisite votes to appoint a substitute Manager, then all management decisions of the Company shall be made by a Majority Vote of the Members, until such time as a substitute Manager is appointed pursuant to this Section 5.4(f).

5.5 Major Decisions. Notwithstanding any other provision herein, the following decisions and actions shall not be made or taken without approval by the Manager and a Majority Vote of the Class A Members (each a "Major Decision"):

(a) any act in contravention of this Agreement;

(b) any act which would make it impossible to carry on the ordinary business of the Company;

(c) confession of a judgment against the Company;

(d) acquisition of any real property other than the Property; and any other provision of this Agreement requiring approval by a Majority Vote of the Members.

5.6 Approved Decisions. The following Company decisions are hereby approved by the Members:

(a) All of the actions and documents described in the Combined Written Consent of the Manager attached hereto as Exhibit C, which includes the acquisition of the Property by the Property LLC among other actions set forth therein; and

(b) The incurrence of indebtedness described on Exhibit D.

5.7 Compensation of Officers. Except as may be hereinafter approved by the Members or set forth in this Agreement, no payment shall be made by the Company to any Member, manager or officer for the services of such Member, manager or officer.

5.8 Dealing With Affiliates.

(a) The Company may acquire property or services from, and have other transactions with, a Member or any Affiliate of a Member or Manager, provided that: (i) the funds of the Company shall not be commingled with that of a Member or an Affiliate; (ii) all transactions between the Company and a Member or an Affiliate shall be approved by the Manager; (iii) all transactions between the Company and a Member or an Affiliate shall be at rates that are market for Kentucky and adjacent mid-market cities and townships in Kentucky, Tennessee, Virginia and Ohio; and (iv) such transactions shall be subject to such other requirements as may be required by the Act.

(b) The Manager or its Affiliates shall be entitled to receive the following compensation for its or their services:

(1) The Acquisition Fee of three percent (3%) payable to Manager upon delivery of Invested Capital by Class A Members, except for the Sponsor, for the Manager's efforts in raising funds for the Company, conducting the due diligence investigation of the Property, and negotiating the purchase of the Property. Notwithstanding the foregoing, if the acquisition of the Property by the Property LLC does not close, Manager shall return the Acquisition Fees to each applicable Investor Member; and

(2) an asset management fee of up to three (3%) of the gross revenue from the operation of the Property payable to the Manager or its assignee ("**Asset Manager**") with respect for Asset Manager's transaction work related to the management of the Property.

Any agreements or contracts entered into between the Company and the Manager that pay the Manager any fees not described in this Section 5.8 (including but not limited to property management agreements, leasing agreements, and construction management agreements) must be at rates that are at or below market for mid-market properties in Kentucky, Tennessee, Ohio and Virginia and for the express purposes of providing superior service to the Company.

(c) The Company shall reimburse the Manager for all costs and expenses reasonably incurred by the Manager in connection with the performance of the Manager's duties under

this Agreement, including, without limitation, all costs and expenses incurred in connection with the investigation and acquisition of the Property, the formation of the Company and the preparation of this Agreement.

5.9 Right to Rely on the Manager. Any Person dealing with the Company may rely (without duty of further inquiry) upon a certificate signed by the Manager as to:

- (1) The identity of the Manager or any Member;
- (2) The existence or nonexistence of any fact or facts which constitute a condition precedent to acts by the Manager or which are in any other manner germane to the affairs of the Company;
- (3) The Persons who are authorized to execute and deliver any instrument or document of the Company; or
- (4) Any act or failure to act by the Company or any other matter whatsoever involving the Company or any Member.

5.10 Substitute Manager. The Manager may substitute a new entity to serve as the manager hereunder at any time, so long as (i) the same individuals that beneficially own and control the Manager immediately before such assignment also own and control the new entity after such assignment, and (ii) the new entity executes a counterpart signature page to this Agreement agreeing to comply with the terms and conditions of this Agreement and accepting the rights, duties and obligations of the Manager under this Agreement. The foregoing substitution may be made by the Manager's execution of an assignment of manager interest. The Manager shall provide written notice to the Members together with a copy of the counterpart signature page signed by the new entity promptly following any substitution of a new entity to serve as Manager under this Section 5.10.

ARTICLE 6: METHOD OF VOTING; MEMBERS' MEETINGS; AMENDMENTS

6.1 General. Actions and decisions requiring the approval of the Members, pursuant to any provision of this Agreement (except an action which specifically imposes a greater vote requirement) may be authorized or made by a Majority Vote, taken at a meeting of the Members. **Breaching Members shall not be entitled to receive notices, vote on any matters, call meetings, or act as proxies, and their consent shall not be required for any purpose under this Agreement.** The voting power held by such Breaching Members shall be excluded for purposes of determining the affirmative vote required for decisions or actions to be taken hereunder.

6.2 Meetings. Any Member may call a meeting to consider approval of an action or decision under any provision of this Agreement by delivering to each other Member notice of the time and purpose of such meeting at least three (3) Business Days before the day of such meeting. A Member may waive the requirement of notice of a meeting either by attending such meeting or executing a written waiver before or after such meeting. Any action permitted or required by the Act, the Articles, or this Agreement to be taken at a meeting of the Members may be taken at a meeting conducted by telephone or other means permitting all participants to simultaneously hear each other. A Member participating in a meeting by this means is deemed to be present in person at the meeting.

6.3 Written Consent. Any Member may propose that the Company authorize an action

or decision by written consent of the Members without a meeting of the Members. For such proposed action on written consent to be a valid and binding action of the Company, the action must be approved by Members with voting power equal to the voting power that would be required to take the same action at a meeting of the Members at which all voting Members were present. A Member's written consent may be evidenced by his or her signature on a counterpart of the proposal or by a separate writing (including a facsimile or electronic mail) that identifies the proposal with reasonable specificity and states that such Member consents to such proposal.

6.4 Vote by Proxy. A Member may vote (or execute a written consent) by proxy given to any other Member. Any such proxy must be in writing and must identify the specific meeting or matter to which the proxy applies or state that it applies to all matters (subject to specified reservations, if any) coming before the Members for approval under any provision of this Agreement prior to a specified date (which shall not be later than the first anniversary date of the date on which such proxy is given). Any such proxy shall be revocable at any time and shall not be effective at any meeting at which the Member giving such proxy is in attendance.

6.5 Records. The Company shall maintain permanent records of all actions taken by the Members pursuant to any provision of this Agreement, including minutes of all Company meetings, copies of all actions taken by consent of the Members, and copies of all proxies pursuant to which one Member votes or executes a consent on behalf of another.

6.6 Amendments. This Agreement may be amended by the Manager and the Members from time to time upon approval by the Manager and a Majority Vote. In addition to the foregoing, the Manager may amend this Agreement without Member consent if U.S. federal income tax laws or rules change such that the Membership Interest of the Manager is treated less favorably for income tax purposes than the treatment provided under law in effect as of the Effective Date, in order to achieve the same or a substantially similar economic deal as is currently set forth in this Agreement, but only if such amendment(s) would not materially adversely affect the Financial Rights or Governance Rights of the Class A Members.

ARTICLE 7: TAX, ACCOUNTING, BOOKS AND RECORDS

7.1 Accounting, Books and Records. The Company shall maintain at its principal executive office separate books of account for the Company which shall show a true and accurate record of all costs and expenses incurred, all charges made, all credits made and received, and all income derived in connection with the operation of the Company business. Each Member shall, at his or her sole expense, have the right, after providing notice to all other Members, to examine, copy, and audit the Company's books and records. If material errors or omissions are found, the Manager will reimburse the cost of the aforementioned Member audits.

7.2 Reports. Within ninety (90) days after the end of each Fiscal Year, the Company shall provide each Member with a copy of the balance sheet of the Company as of the last day of such Fiscal Year, a statement of the Company's cash flow for such Fiscal Year, a statement of income or loss for the Company for such Fiscal Year, and a management discussion and analysis report. All such statements may be reviewed by the Company's accountants.

7.3 Tax Characterization and Tax Returns.

(a) The Members acknowledge that the Company will be treated as a partnership

for federal tax purposes. All provisions of this Agreement and the Articles are to be construed so as to preserve the Company's tax status as a partnership.

(b) The Company shall furnish each Member with a copy of each income tax return filed by the Company, together with any schedules or other information which each Member may require in connection with such Member's own tax affairs.

7.4 Special Basis Adjustment. Unless approved by the Manager and a Majority Vote, the Company shall not make an election to adjust the basis of the Company's property in the manner provided in Sections 734(b) and 743(b) of the Code.

7.5 Partnership Representative. The "Partnership Representative" shall have all the powers provided to a partnership representative in §§6221 through 6241 of the Code, including the specific power to extend the statute of limitations with respect to any matter which is attributable to any Company item or affecting any item pending before the Internal Revenue Service and to select the forum to litigate any tax issue or liability arising from Company items. Notwithstanding the foregoing, the partnership representative shall be required to provide the Members with written notice of any federal income tax audits or judicial procedures affecting the Company, and shall be required to obtain the written consent of the Manager prior to approving any settlements or other agreements with respect to such federal income tax audits or judicial procedures. The Partnership Representative shall be the Member designated as such on **Exhibit B**. The Partnership Representative shall be designated annually on the Company's federal income tax return. The Partnership Representative may resign his position by giving 30 days' written notice to all Members, whereupon the Members shall designate a new Partnership Representative. The Company may remove the Partnership Representative and/or appoint a new Partnership Representative at any time upon the approval of a Majority in Interest of the Members.

The Partnership Representative shall be entitled to reimbursement for any and all reasonable expenses incurred with respect to any administrative and/or judicial proceedings affecting the Company.

7.6 Banking. All funds of the Company shall be deposited in the Company's name, in such account or accounts with financial institutions as may be approved by the Manager.

ARTICLE 8: ADDITIONAL MEMBERS

8.1 Admission. The Company may, from time to time, admit additional Members and determine the Percentage Interests (including the consideration/contribution required therefor) to be issued or awarded to such Members upon approval by the Manager and a Majority Vote.

8.2 Admission Procedure. No Person shall be admitted as an additional Member unless such Person executes, acknowledges, and delivers to the Company such instruments as the Company may deem necessary or advisable to effect the admission of such Person as an additional Member, including (without limitation) the written acceptance and adoption by such Person of the provisions of this Agreement. Exhibit A shall be revised from time to time to reflect the admission of additional Members.

ARTICLE 9: TRANSFER OF MEMBERSHIP INTEREST

9.1 Restriction on Transfer. No Member shall Transfer his Membership Interest, or any portion thereof, except as expressly permitted in this Article 9.

9.2 Permitted Transfers. Subject to the conditions and restrictions set forth in Section 9.3 and Section 9.4 hereof, no Transfer of all or any part of a Membership Interest or any rights associated therewith shall be made except on the following conditions (any such Transfer being referred to in this Agreement as a "Permitted Transfer"):

(a) A Member may Transfer all or any part of his Membership Interest to any other Person with the approval of the Manager in writing, after full disclosure by such Member of the proposed transaction.

(b) A court of competent jurisdiction may transfer a Member's entire Membership Interest to a guardian or conservator of a Member in the event of his mental incapacity.

(c) A Member may assign all or any part of his Membership Interest to any Person under his or her last will and testament, or such interest may pass by intestate succession.

(d) A Member may assign all or any part of his Membership Interest to any immediate family member of such Member or any trust set up for the benefit of such Member or any immediate family member of such Member.

9.3 Conditions to Permitted Transfers. A Transfer shall not be treated as a Permitted Transfer under Section 9.2 hereof unless and until the following conditions are satisfied:

(a) Except in the case of a Transfer involuntarily by operation of law, the transferor and transferee shall execute and deliver to the Company (i) such documents and instruments of conveyance as may be necessary or appropriate in the opinion of counsel to the Company to effect such Transfer. In the case of a Transfer of a Membership Interest involuntarily by operation of law, the Transfer shall be confirmed by presentation to the Company of legal evidence of such Transfer, in form and substance satisfactory to counsel to the Company. In all cases, the Company shall be reimbursed by the transferor and/or transferee for all costs and expenses that it reasonably incurs in connection with such Transfer.

(b) Upon request by the Company, the transferor and transferee shall furnish the Company with the transferee's taxpayer identification number, sufficient information to determine the transferee's initial tax basis in the Membership Interest transferred, and any other information reasonably necessary to permit the Company to file all required federal and state tax returns and other legally required information statements or returns. Without limiting the generality of the foregoing, the Company shall not be required to make any distribution otherwise provided for in this Agreement with respect to any transferred Membership Interest until it has received such information.

(c) Unless otherwise approved by the Manager, no Transfer of a Membership Interest shall be made except upon terms which would not, in the opinion of counsel chosen by and mutually acceptable to the Company and the transferor Member, result in the termination of the Company within the meaning of Section 708 of the Code.

(d) In the event that any Member, in compliance with this Article 9, pledges or otherwise encumbers all or any part of his Membership Interest as security for the payment of a debt, any such pledge or hypothecation shall be made pursuant to a pledge or hypothecation agreement that requires the pledgee or secured party to be bound by all of the terms and conditions of this Article 9.

(e) In the event that, pursuant to the terms of any loan agreement, security

agreement, deed of trust or other agreement existing at any time between the Company and any lender, the approval of such lender is required prior to the time that any Transfer of a Membership Interest or rights associated therewith may occur, then, notwithstanding any provision of this Article 9 to the contrary, no such Transfer shall be effective until all required approvals and/or consents of any such lender have been obtained. Likewise, if such Transfer made without necessary approvals would cause the Company to be in violation of the terms of the partnership agreement of any partnership in which the Company is then a partner, the shareholders' agreement of any corporation in which the Company is a shareholder, or the articles of organization or operating agreement of any other limited liability company in which the Company is a member, the required approvals of all necessary parties to such Transfer shall be required before such Transfer shall be effective.

(f) No notice or request initiating the procedures contemplated by Section 9.4 may be given by any Member, while any notice, purchase or Transfer is pending under Section 9.4 or after a Liquidating Event has occurred. The Members that are not Breaching Members shall not be required to offer any portion of their Membership Interests pursuant to Section 9.4 to a Breaching Member during the period that the Company is pursuing any remedy specified in Section 10 with respect to such Member's status as a Breaching Member. No Member may sell his Membership Interest or any rights associated therewith pursuant to Section 9.4 during any period that, as provided above, it may not give the notice initiating the procedures contemplated by such Section 9.4 or thereafter until it has given such notice and otherwise complied with the provisions of such Section 9.4.

(g) The Transfer does not result in a violation of applicable federal or state securities laws. The Manager may require the transferor and/or transferee (at their sole cost) to provide a written opinion of counsel in form and substance satisfactory to the Manager and from counsel satisfactory to the Manager that the Transfer does not result in a violation of applicable federal or state securities laws.

9.4 Right of First Refusal on Certain Transfers for Value. In addition to the conditions and restrictions on Transfer specified in this Article 9, except for Permitted Transfers, no Class A Member may Transfer all or any portion of his Membership Interest or any rights associated therewith to a Person unless the following conditions are satisfied:

(a) At least thirty (30) days prior to the date that the proposed Transfer is to occur, the Class A Member seeking to Transfer his Membership Interest (the "Transferring Member") must send written notice (the "Required Notice") to the Manager setting forth the terms of the proposed Transfer (the "Proposed Transfer"), including the price, payment terms and the identity of the transferee. For ten (10) days thereafter, the Manager may request additional information regarding the Proposed Transfer and reasonable evidence from the Transferring Member that the Proposed Transfer will be made pursuant to a bona fide offer from the transferee, which information and evidence the Transferring Member must furnish no later than ten (10) days after the request is made.

(b) For the period ("Option Period") commencing with the date on which the Required Notice was sent and ending thirty (30) days thereafter (which period shall be extended by one day for each day in excess of ten (10) that the Transferring Member fails to comply with a request for reasonable evidence of the offer), the Manager shall have the option to purchase (or cause the Company to purchase) the Membership Interest which is the subject of the Proposed Transfer for the same price and upon the same terms and conditions as described in the Required Notice. The option to purchase shall be exercised not later than seven (7) days prior to the expiration of the Option Period. If the option is exercised by the Manager, the Manager shall consummate the purchase (or cause the Company to consummate the purchase) not later than thirty (30) days after the expiration of the Option

Period. The Manager may delegate all or any portion of the Manager's rights under this Section 9.4 to the other Members, in which case, the Members shall be entitled to purchase the Membership Interest which is the subject of the Proposed Transfer in accordance with the other terms of this Section 9.4 in proportion to their Percentage Interests or as they may otherwise agree.

(c) If the Manager does not exercise the foregoing option prior to the expiration of the Option Period, the Transferring Member may thereafter consummate the Proposed Transfer with the transferee upon terms and conditions that are not less favorable to the Transferring Member than were described in the Required Notice. If the Proposed Transfer is not consummated within thirty (30) days after the expiration of the Option Period, the Transferring Member shall not make a Transfer without again offering the Membership Interest to the Manager in accordance with this Section 9.4.

(d) The Manager may waive the provisions of this Section 9.4 in its sole and absolute discretion for any Transfer of a Membership Interest.

9.5 Admission of Substituted Members. Subject to the other provisions of this Article 9, a transferee of a Membership Interest may be admitted to the Company as a substituted Member only upon satisfaction of the conditions set forth in this Section 9.5:

(a) Such admission is approved by the Manager.

(b) The Membership Interest with respect to which the transferee is being admitted was acquired by means of a Permitted Transfer.

(c) The transferee of the Membership Interest (other than a transferee that was a Member prior to the Transfer) shall, by written instrument in form and substance reasonably satisfactory to the Company (i) accept and adopt the terms and provisions of this Agreement, including this Article 9, and (ii) assume the obligations of the transferor Member under this Agreement with respect to the transferred Membership Interest. Unless otherwise determined by the Manager, the transferor Member shall be released from all such assumed obligations except (x) those obligations or liabilities of the transferor Member arising out of a breach of this Agreement, and (y) in the case of a Transfer to any Person other than a Member, those obligations or liabilities of the transferor Member based on events occurring, arising, or maturing prior to the date of Transfer.

(d) If required by the Company, the transferor or transferee pays or reimburses the Company for all reasonable legal, filing, and publication costs that the Company incurs in connection with the admission of the transferee as a Member with respect to the Transferred Membership Interest.

(e) Except in the case of a Transfer involuntarily by operation of law, if required by the Company, the transferee (other than a transferee that was a Member prior to the Transfer) shall deliver to the Company evidence of the authority of such Person to become a Member and to be bound by all of the terms and conditions of this Agreement, and the transferee and transferor shall each execute and deliver such other instruments as the Company reasonably deems necessary or appropriate to effect, and as a condition to, such Transfer, including amendments to the Articles or any other instrument filed with the State of Wyoming or any other state or governmental authority.

(f) Such admission would not result in the Company having more than 100 Members.

9.6 Prohibited Transfers. Any purported Transfer of a Membership Interest or rights associated therewith that is not a Permitted Transfer shall be null and void and of no force or effect whatever; provided that, if the Company is required to recognize a Transfer that is not a Permitted Transfer, the rights Transferred to the transferee shall be strictly limited to the transferor's rights as an unadmitted assignee of a Membership Interest as provided in Section

9.7 below, and any allocations and/or distributions made in respect of such Financial Rights may be applied (without limiting any other legal or equitable rights of the Company) to satisfy any debts, obligations, or liabilities for damages that the transferor or transferee of such Membership Interest may have to the Company.

In the case of a Transfer or attempted Transfer of a Membership Interest that is not a Permitted Transfer, the parties engaging or attempting to engage in such Transfer shall be liable to indemnify and hold harmless the Company and the other Members from all cost, liability, and damage that any of such indemnified Members may incur (including, without limitation, incremental tax liabilities, reasonable attorneys' fees and expenses) as a result of such Transfer or attempted Transfer and efforts to enforce the indemnity granted hereby.

9.7 Rights of Unadmitted Assignees. A Person who acquires a Membership Interest pursuant to a Permitted Transfer but who is not admitted as a substituted Member pursuant to Section 9.5 hereof shall be entitled only to allocations and distributions with respect to such Membership Interest in accordance with this Agreement, and shall have no right to any information or accounting of the affairs of the Company, shall not be entitled to inspect the books or records of the Company, and shall not have any voting rights or any other rights of a Member under the Act or this Agreement.

9.8 Distributions and Allocations in Respect of Transferred Membership Interests. If any Membership Interests are Transferred during any Fiscal Year in compliance with the provisions of this Article 9, Profits, Losses, each item thereof, and all other items attributable to the Transferred Membership Interests for such Fiscal Year shall be divided and allocated between the transferor and the transferee by taking into account their varying interests during the Fiscal Year in accordance with Code Section 706(d), using any conventions permitted by law and selected by the Manager. All distributions on or before the date of such Transfer shall be made to the transferor, and all distributions thereafter shall be made to the transferee. Solely for purposes of making such allocations and distributions, the Company shall recognize such Transfer not later than the end of the calendar month during which it is given notice of such Transfer, provided that, if the Company is given notice of a Transfer at least ten (10) Business Days prior to the Transfer, the Company shall recognize such Transfer as of the date of such Transfer, and provided further that if the Company does not receive a notice stating the date such Membership Interests were transferred and such other information as the Members may reasonably require within thirty (30) days after the end of the Fiscal Year during which the Transfer occurs, then all such items shall be allocated, and all distributions shall be made, to the Person who, according to the books and records of the Company, was the owner of the Membership Interests on the last day of such Fiscal Year.

9.9 Restrictions on Transfer Not Manifestly Unreasonable. The Members acknowledge that the restrictions on Transfer set forth in this Article 9 are not manifestly unreasonable.

ARTICLE 10: WITHDRAWAL IN BREACH OF AGREEMENT

10.1 Waiver of Partition. No Member shall, either directly or indirectly, take any action to require partition or appraisal of the Company or of any of its assets or properties or cause the sale of any Property, and notwithstanding any provisions of applicable law to the contrary, each Member

(and his legal representatives, successors or assigns) hereby irrevocably waives any and all right to maintain any action for partition or to compel any sale with respect to his Membership Interest, or with respect to any assets or properties of the Company, except as expressly provided in this Agreement.

10.2 Covenant Not to Withdraw or Dissolve. Notwithstanding any provision of the Act, each Member hereby covenants and agrees that the Members have entered into this Agreement based on their mutual expectation that all Members will continue as Members and carry out the duties and obligations undertaken by them hereunder, and that, except as otherwise expressly required or permitted hereby, no Member shall (a) take or permit any action that would cause a Bankruptcy of such Member, (b) withdraw or attempt to withdraw from the Company other than a withdrawal approved by all of the Members, (c) exercise any power under the Act to dissolve the Company, (d) transfer all or any portion of its Membership Interest except in compliance with this Agreement, (e) petition for judicial dissolution of the Company, (f) demand a return of such Member's contributions or profits (or a bond or other security for the return of such contributions or profits) without the unanimous consent of the Members, or (g) cause or allow dissolution of any Member.

10.3 Consequences of Violation of Covenant. Notwithstanding anything to the contrary in the Act, if a Member (a "**Breaching Member**") (i) attempts to transfer all or any portion of his Membership Interest in breach of Article 9 hereof, (ii) attempts to cause a partition in breach of Section 10.1 hereof, or (iii) attempts to withdraw from the Company or dissolve the Company in breach of Section 10.2 hereof, the Company shall continue and not wind up or liquidate, and the Breaching Member shall be subject to this Section 10.3. In such event, the following shall occur:

(a) The Breaching Member shall immediately cease to be a Member and shall have no further power to act for or bind the Company in any manner whatsoever;

(b) The other Member(s) shall continue to have the right to possess the Company's property and goodwill and to conduct its business and affairs;

(c) The Breaching Member shall be liable in damages, without requirement of a prior accounting, to the Company for all costs and liabilities that the Company or any Member may incur as a result of such breach;

(d) The Company shall have no obligation to pay to the Breaching Member its contributions, capital, or profits, but may, by notice to the Breaching Member within thirty (30) days of the event giving rise to the Member becoming a Breaching Member, upon approval by the Manager, elect to make Breach Payments to the Breaching Member in complete satisfaction of the Breaching Member's Membership Interest, and the Breaching Member shall be deemed to have transferred its entire Membership Interest to the Company as of the date of the event giving rise to the Member becoming a Breaching Member;

(e) If the Company does not elect to make Breach Payments pursuant to Section 10.3(d) hereof, the Company shall treat the Breaching Member as if he were an unadmitted assignee of the Membership Interest of the Breaching Member subject to Section 9.7 hereof and shall make distributions to the Breaching Member only of those amounts otherwise payable with respect to such Membership Interest hereunder;

(f) The Company may apply any distributions otherwise payable with respect to such Membership Interest (including Breach Payments) to satisfy any claims it may have against the

Breaching Member;

(g) The Breaching Member shall have no right to inspect the Company's books or records or obtain other information concerning the Company's operations; and

(h) The Breaching Member shall continue to be liable to the Company for any unpaid capital contributions required hereunder with respect to such Membership Interest and to be jointly and severally liable with the other Members for any debts and liabilities (whether actual or contingent, known or unknown) of the Company existing at the time the Breaching Member withdraws or dissolves.

10.4 Breach Payments. For purposes hereof, "Breach Payments" shall be made in five (5) installments, each equal to twenty percent (20%) of the Breach Amount, payable on the first day of the next five (5) consecutive calendar years following the year in which the breach by the Breaching Member occurs, without interest. The "Breach Amount" shall be an amount equal to seventy-five percent (75%) of the Net Equity of the Breaching Member's Membership Interest as of the last day of the month preceding the month during which such breach occurred, computed in accordance with Section 10.6 hereof, less any Company distributions to the Breaching Member after such day. The Breach Amount as so determined shall be final and binding on the Company and the Breaching Member. The Company may, at its sole election, prepay all or any portion of the Breach Payments at any time without penalty.

10.5 No Bonding. Notwithstanding anything contrary contained in the Act, the Company shall not be obligated to secure the value of a Breaching Member's Membership Interest by bond or otherwise; provided, however, that if a court of competent jurisdiction determines that, in order to continue the business of the Company such value must be so secured, the Company may provide such security. If the Company provides such security, the Breaching Member shall not have any right to participate in Company profits or distributions during the term of the Company, or to receive any interest on the value of such Membership Interest. For this purpose, the value of the Membership Interest of the Breaching Member shall be an amount equal to seventy-five percent (75%) of the Net Equity of such Membership Interest as of the last day of the month preceding the month during which the breach by the Breaching Member occurs.

10.6 Net Equity. The "Net Equity" of a Member's Membership Interest, as of any day, shall be the amount that would be distributed to such Member in liquidation of the Company pursuant to Article 12 hereof as if (1) the Gross Asset Values of Company assets were adjusted as set forth in paragraph (b) of the definition of Gross Asset Value hereof, (2) all of the Company's assets were sold for their Gross Asset Values, as so adjusted, (3) the Company paid its accrued, but unpaid, liabilities and established reserves pursuant to Section 12.3 hereof for the payment of reasonably anticipated contingent or unknown liabilities, and (4) the Company distributed the remaining proceeds to the Members in liquidation, all as of such day; provided that in determining such Net Equity, no reserve for contingent or unknown liabilities shall be taken into account if such Member (or his successor in interest) agrees to indemnify the Company and all other Members for that portion of any reserve as would be treated as having been withheld pursuant to Section 12.3 hereof from the distribution such Member would have received pursuant to Article 12 hereof if no such reserve were established.

The Net Equity of a Member's Membership Interest shall be determined, without audit or certification, from the books and records of the Company by the accounting firm regularly employed by the Company, or if an accounting firm is not regularly employed by the Company, by a firm employed specifically for such purpose, and the amount of such Net Equity shall be disclosed to

the Company and each of the Members by written notice. The Net Equity determination of such accountants shall be final and binding in the absence of a showing of gross negligence or willful misconduct.

ARTICLE 11: INDEMNIFICATION

11.1 Authority to Indemnify. The Company may indemnify an individual made a party to a proceeding, because such individual is or was a Responsible Person, against liability incurred in the proceeding if the Responsible Person satisfies the following standard of conduct:

(a) the Responsible Person's conduct was in good faith and the Responsible Person reasonably believed (i) in the case of conduct in the Responsible Person's official capacity with the Company, that his or her conduct was in the best interest of the Company and (ii) in all other cases, that his or her conduct was at least not opposed to the Company's best interest;

(b) in the case of any criminal proceeding, the Responsible Person had no reasonable cause to believe his or her conduct was unlawful;

(c) the Responsible Person's conduct with respect to an employee benefit plan for a purpose he or she reasonably believed to be in the interests of the participants in and beneficiaries of the plan is conduct that satisfies this Section 11.1; or

(d) The termination of a proceeding by judgment, order, settlement, conviction or upon a plea of nolo contendere or its equivalent is not, of itself, determinative that the Responsible Person did not satisfy the foregoing standard of conduct.

11.2 Limitations on Authority to Indemnify. The Company may not indemnify a Responsible Person (i) in connection with a proceeding by or in the right of the Company in which the Responsible Person was adjudged liable to the Company, and (ii) in connection with any other proceeding charging improper personal benefit to such Responsible Person, whether or not involving action in the Responsible Person's official capacity, in which the Responsible Person was adjudged liable on the basis that personal benefit was improperly received by such Responsible Person.

11.3 Mandatory Indemnification. The Company shall indemnify a Responsible Person who is or was wholly successful, on the merits or otherwise, in the defense of any proceeding to which such Responsible Person was a party because he or she is or was a Responsible Person of the Company against reasonable expenses incurred in connection with the proceeding.

11.4 Advances for Expenses. The Company shall pay for or reimburse the reasonable expenses of a Responsible Person who is a party to a proceeding in advance of final disposition of the proceeding if: (a) the Responsible Person furnishes to the Company a written affirmation of his or her good faith belief that he or she has satisfied the standard of conduct set forth in Section 11.1; (b) the Responsible Person furnishes to the Company a written undertaking (which shall be an unlimited general obligation of the Responsible Person but need not be secured and may be accepted by the Company without reference to financial ability to repay), executed personally on his or her behalf, to repay the advance if it is ultimately determined that he or she is not entitled to indemnification; and (c) a determination is made that the facts then known to those making the determination would not preclude indemnification under Section 11.2.

11.5 Determination and Authorization of Indemnification. The Company may not

indemnify a Responsible Person under Section 11.1 unless authorized in the specific case after a determination has been made that indemnification of the Responsible Person is permissible in the circumstances because the Responsible Person has satisfied the standard of conduct set forth in Section 11.1. The determination shall be made by the Manager, or, if the Manager is a party to the proceeding, by a Majority Vote of the Members who are not at the time parties to the proceeding.

11.6 Insurance. The Company may purchase and maintain insurance on behalf of an individual who is or was a Responsible Person, employee, independent contractor or agent of the Company or who, while a Responsible Person, employee, independent contractor or agent of the Company, is or was serving at the request of the Company as a responsible person, manager, employee, independent contractor, agent, member, partner, or trustee of another foreign or domestic limited liability company, corporation, partnership, joint venture, trust, employee benefit plan, or other enterprise, against liability asserted against or incurred by such individual in that capacity or arising from such individual's status as a Responsible Person, employee, independent contractor or agent of the Company whether or not the Company would have the power to indemnify such individual against the same liability as provided in Sections 11.1, 11.2, or 11.3 hereof.

11.7 Non-Exclusive Right. The indemnification and advancement of expenses granted pursuant to, or provided by this Article 11 shall not be deemed exclusive of any other rights to which a Responsible Person seeking indemnification or advancement of expenses may be entitled, whether contained in this Article 11, the Articles, the Act, in a resolution of the Members, or an agreement providing for such indemnification; provided, however, that no indemnification may be made to or on behalf of any Responsible Person if a judgment or other final adjudication adverse to the Responsible Person establishes his or her liability: (a) for any breach of duty of loyalty to the Company or Members; (b) for acts or omissions not in good faith or which involve intentional misconduct or a knowing violation of law; or (c) for any liability for wrongful distributions incurred under the Act.

Nothing in this Section 11.7 shall affect any rights to indemnification to which the Company's personnel, other than Responsible Persons, may be entitled by contract or otherwise under law. This Section 11.7 does not limit the Company's power to pay or reimburse expenses incurred by a Responsible Person in connection with his or her appearance as a witness in a proceeding at a time when he or she has not been named defendant or respondent to the proceeding.

11.8 Mandatory Indemnification of Manager and Guarantors of the Company. Notwithstanding the foregoing, the Manager and its Affiliates shall not be obligated to any third party for any debt, obligation or liability of the Company solely by reason of being a member, Manager or guarantor of the Company, unless they enter into an express written agreement to the contrary. The Manager and its respective members, Affiliates, partners, employees, agents and representatives, including, without limitation, any of such Persons who guarantee any obligations or indebtedness of the Company (each, an "**Indemnitee**") shall be indemnified and held harmless by the Company from and against any and all losses, claims, damages, liabilities, expenses (including legal fees and expenses), judgments, fines, settlements and other amounts arising from any and all claims, demands, actions, suits or proceedings, civil, criminal, administrative or investigative, in which the Indemnitee may be involved, or threatened to be involved, as a party or otherwise by reason of such Indemnitee's status as any of the foregoing, which relates to or arises out of the Company, its assets, any obligations or indebtedness of the Company, the Company's business or affairs, if in each of the foregoing cases (i) the Indemnitee acted in good faith and in a manner such Indemnitee believed to be in, or not opposed to, the best interests of the Company, and, with respect to any criminal proceeding, had no reasonable cause to believe such Indemnitee's conduct was unlawful, and (ii) the Indemnitee's conduct did not

constitute gross negligence or willful or wanton misconduct. The termination of any action, suit or proceeding by judgment, order, settlement, conviction, or upon a plea of nolo contendere, or its equivalent, shall not, of itself, create a presumption that the Indemnitee acted in a manner contrary to that specified in (i) or (ii) above.

ARTICLE 12: DISSOLUTION AND WINDING UP

12.1 Liquidating Events. The Company shall dissolve, and its affairs shall be wound up upon the first to occur of any of the following ("Liquidating Events"):

- (a) The written consent of the Manager to dissolve; or
- (b) the entry of a decree of judicial dissolution under the Act.

12.2 Winding Up. Upon the occurrence of a Liquidating Event, the Company shall continue solely for the purpose of winding up its affairs in an orderly manner, liquidating its assets, and satisfying the claims of its creditors and Members, and no Member shall take any action that is inconsistent with, or not necessary to or appropriate for, winding up the Company's business and affairs. To the extent not inconsistent with the foregoing, all covenants and obligations in this Agreement shall continue in full force and effect until such time as the Company's property has been distributed pursuant to this Section 12.2 and the Company has terminated. The Manager (or any Person elected for this purpose by the Members) shall be responsible for overseeing the winding up and liquidation of the Company, shall take full account of the Company's liabilities and property, shall cause the property to be liquidated as promptly as is consistent with obtaining the fair value thereof, and shall cause the proceeds therefrom, to the extent sufficient therefor, to be applied and distributed in the following order:

- (a) First, to the payment and discharge of all of the Company's debts and liabilities to creditors other than Members;
- (b) Second, to the payment and discharge of all of the Company's debts and liabilities to Members;
- (c) The balance, if any, to the Members in the order and priority described in Section 4.2 hereof.

No Member shall receive any additional compensation for any services performed pursuant to this Article 12. Each Member understands and agrees that by accepting the provisions of this Section 12.2 setting forth the priority of the distribution of the assets of the Company to be made upon its liquidation, such Member expressly waives any right which it, as a creditor of the Company, might otherwise have under the Act to receive distributions of assets pari passu with the other creditors of the Company in connection with a distribution of assets of the Company in satisfaction of any liability of the Company, and hereby subordinates to said creditors any such right.

12.3 Compliance With Certain Requirements of Regulations; Deficit Capital Accounts; Additional Liquidation Procedures. Notwithstanding any contrary provision in this Agreement, in the event the Company is "liquidated" within the meaning of Regulations Section 1.704-1(b)(2)(ii)(g),

distributions shall be made pursuant to this Article 12 to the Members who have positive Capital Accounts in compliance with Regulations Section 1.704-1(b)(2)(ii)(b)(2). If any Member has a deficit Capital Account balance (after giving effect to all contributions, distributions and allocations for all Fiscal Years, including the Fiscal Year during which such liquidation occurs) such Member shall have no obligation to make any contribution to the capital of the Company with respect to such deficit, and such deficit shall not be considered a debt owed to the Company or to any other Person for any purpose whatsoever. With the approval of Manager, a pro rata portion of the distributions that would otherwise be made to the Members pursuant to Section 12.2 hereof may be:

(a) distributed to a trust established for the benefit of the Members for the purposes of liquidating Company assets, collecting amounts owed to the Company, and paying any contingent or unforeseen liabilities or obligations of the Company or of the Members arising out of or in connection with the Company. The assets of any such trust shall be distributed to the Members from time to time, in the reasonable discretion of the Members, in the same proportions as the amount distributed to such trust by the Company would otherwise have been distributed to the Members pursuant to Section 12.2 hereof; or

(b) withheld to provide a reasonable reserve for Company liabilities (contingent or otherwise) and to reflect the unrealized portion of any installment obligations owed to the Company, provided that such withheld amounts shall be distributed to the Members as soon as practicable.

12.4 Deemed Contribution and Distribution. Notwithstanding any other provision of this Article 12 in the event the Company is liquidated within the meaning of Regulations Section 1.704-1(b)(2)(ii)(g) but no Liquidating Event has occurred, the Company shall not be liquidated, the Company's liabilities shall not be paid or discharged, and the Company's affairs shall not be wound up. Instead, the Company shall be deemed to have contributed its property in kind to a new company, and immediately thereafter, the Members shall be deemed to have distributed the Membership Interests in the new company to the Members of the terminated Company, all in accordance with the Member's respective Percentage Interests in the terminated Company.

12.5 Rights of Members. Except as otherwise provided in this Agreement, each Member shall look solely to the assets of the Company for the return of his or her Capital Contributions and shall have no right or power to demand or receive property other than cash from the Company for such capital contributions. No Member shall have priority over any other Member as to the return of his or her Capital Contributions, the distribution of cash or other property, or the allocation of profits unless otherwise provided in this Agreement.

12.6 Articles of Termination. When all debts, liabilities and obligations have been paid and discharged, or adequate provisions have been made therefor, and all of the remaining assets have been distributed in accordance with the provisions of this Agreement, the Manager (or any Person elected for this purpose by the Members) shall execute and file Articles of Termination with the Wyoming Secretary of State as provided in the Act.

ARTICLE 13: MISCELLANEOUS

13.1 Notices. All notices, requests, demands, consents, and other communications hereunder shall be made in writing and shall be given either by personal delivery, by certified mail (postage prepaid, return receipt requested), by nationally recognized overnight courier (with charges prepaid) or

by facsimile (with facsimile confirmation) or electronic mail transmission, and shall be deemed to have been given or made when personally delivered, three business days following the date deposited with the United States Postal Service, the first business day following the date deposited with such overnight courier service or when transmitted to facsimile machine or via electronic mail transmission and confirmed by telephone or via electronic mail, addressed to the respective parties as follows: if to the Company, to the Company at the address of the Company's principal executive office set forth in Section 1.5 hereof, or to such other address as the Company may from time to time specify by notice to the Members; if to a Member, to such Member at the address set forth on Exhibit A hereto, or to such other address as such Member may from time to time specify by notice to the Company. Any such notice shall be deemed to be delivered, given, and received as of the date so delivered.

13.2 Binding Effect. Except as otherwise provided in this Agreement, every covenant, term, and provision of this Agreement shall be binding upon and inure to the benefit of the Members and their respective heirs, legatees, legal representatives, successors, transferees, and assigns.

13.3 Construction. Every covenant, term, and provision of this Agreement shall be construed simply according to its fair meaning and not strictly for or against any Member. The terms of this Agreement are intended to embody the economic relationship among the Members and shall not be subject to modification by, or be conformed with, any actions by the Internal Revenue Service except as this Agreement may be explicitly so amended and except as may relate specifically to the filing of tax returns.

13.4 Headings. Section and other headings contained in this Agreement are for reference purposes only and are not intended to describe, interpret, define, or limit the scope, extent, or intent of this Agreement or any provision hereof.

13.5 Severability. Every provision of this Agreement is intended to be severable. If any term or provision hereof is illegal or invalid for any reason whatsoever, such illegality or invalidity shall not affect the validity or legality of the remainder of this Agreement.

13.6 Incorporation by Reference. Every exhibit, schedule, and other appendix attached to this Agreement and referred to herein is not incorporated in this Agreement by reference unless this Agreement expressly otherwise provides.

13.7 Further Action. Each Member agrees to perform all further acts and execute, acknowledge, and deliver any documents which may be reasonably necessary, appropriate, or desirable to carry out the provisions of this Agreement.

13.8 Variation of Pronouns. All pronouns and any variations thereof shall be deemed to refer to masculine, feminine, or neuter, singular or plural, as the identity of the person or persons may require.

13.9 Governing Law. The laws of the State of Wyoming shall govern the validity of this Agreement, the construction of its terms, and the interpretation of the rights and duties of the Members.

13.10 Counterpart Execution. This Agreement may be executed in any number of counterparts with the same effect as if all of the Members had signed the same document. All counterparts shall be construed together and shall constitute one agreement.

13.11 Confidentiality. Each Member acknowledges that it has obtained and will obtain information regarding the Company which is confidential in nature (including, without limitation, information as to the pricing schedules and policies, customer lists, marketing policies and processes, financial condition, and the like). Each Member agrees that it will not, at any time, disclose any such information to any third party (other than to financing sources or as required by applicable law) or intentionally use any such information in a manner which would be detrimental to the Company. In the event of the withdrawal of any Member, for any reason whatsoever, the restrictions on such Member's use of all such information herein described will continue in effect, and such party will immediately return to the Company all documents, records, financial data, and the like, and all copies thereof, which it might have obtained from the Company. Any violation of this Section 13.11 by any officer, employee, agent, or representative of such Member will constitute a violation of this Section 13.11 by such Member.

13.12 No Third Party Beneficiaries. This Agreement has been executed for the sole benefit of the parties hereto, and no third party is authorized to rely upon any party's rights hereunder or to rely upon an assumption that a party has or will exercise its rights under this Agreement.

13.13 Representation by Thompson Burton PLLC. The Members hereby acknowledge that Thompson Burton PLLC ("**TB**") represented only the Manager in connection with the preparation and negotiation of this Agreement, and that the Members were encouraged to and provided an opportunity to obtain separate counsel to represent them in connection with this Agreement. Accordingly, in the event of any ambiguity in the interpretation of this Agreement, this Agreement shall not be interpreted for or against any party by virtue of the fact that TB prepared the initial draft of the Agreement. In the event TB represents the Company after the Effective Date, such representation will not preclude TB from also subsequently representing the Manager and its Affiliates, including, without limitation, in any matters that may be adverse to the Company or the Members.

13.14 Representations of the Members. Each Member hereby represents and warrants as follows for the benefit of the Company, the Manager and each other Member:

(a) The Member is an "accredited investor" as that term is defined in Rule 501 of Regulation D promulgated by the Securities and Exchange Commission. The Member is not acquiring Membership Interests with the present intent to distribute or resell the Membership Interests.

(b) The Member understands that the purpose of the Company is to invest in the Property Company.

(c) The Member has reviewed all information deemed necessary by the Member regarding the Member's investment in the Company and the Company's investment in the Property Company, and the Member has not relied upon the advice or guidance of the Manager, any other Member, the Company or any agent or attorney for the Company in arriving at the decision to invest in the Company.

(d) The Member is a sophisticated real estate investor capable of evaluating each and every risk associated with an investment in the Company and, indirectly, in the Property Company.

(e) The Member understands that such Member would not have been admitted into the Company or permitted to invest in the Company or, indirectly, in the Property Company,

except upon the basis of the good faith belief and understanding of the Company, the Manager and the other Members that each of the foregoing representations are completely true and accurate. Consequently, the Member hereby indemnifies and agrees to hold harmless the Company, the Manager and each of the other Members from any harm or damage resulting to any such Person as a result of any inaccuracy in any of the representations or warranties made by such Member.

[SIGNATURES TO COMMENCE ON FOLLOWING PAGES]

Entered into as of the Effective Date:

MANAGER:

CS3 MANAGEMENT LLC,
a Wyoming limited liability company

By: _____

Print Name: Carlos Salguero

Its: Manager

(Signatures of Members to Follow in Separate Counterpart Signature Pages)

**SIGNATURE PAGE TO
OPERATING AGREEMENT OF
WINDING SPRINGS INVESTORS LLC
(Individuals)**

IN WITNESS WHEREOF, the undersigned has thoroughly and carefully read the Operating Agreement of WINDING INVESTORS SPRINGS LLC, dated as of September 10th, 2025, and hereby adopts, agrees and assents to all provisions of said Operating Agreement.

MEMBER:

Print Name:_____

Acceptance and admission of Member approved by:

CS3 MANAGEMENT, LLC,
a Wyoming limited liability company

By: _____
Print Name: Carlos Salguero
Its: Manager

**SIGNATURE PAGE TO
OPERATING AGREEMENT OF
WINDING SPRINGS INVESTORS LLC
(Entities)**

IN WITNESS WHEREOF, the undersigned has thoroughly and carefully read the Operating Agreement of WINDING SPRINGS INVESTORS LLC, dated as of September 10th, 2025, and hereby adopts, agrees, and assents to all provisions of said Operating Agreement.

MEMBER:

a/an _____

By: _____
Print Name: _____
Title: _____

Acceptance and admission of Member approved by:

CS3 MANAGEMENT LLC,
a Wyoming limited liability company

By: _____
Print Name: Carlos Salguero
Its: Manager

**EXHIBIT A
TO
OPERATING AGREEMENT OF
WINDING SPRINGS INVESTORS LLC**

CLASS B MANAGERIAL MEMBERS:

Member	Capital Contribution	Financial Percentage of Class B	Financial Percentage of Company	Voting Rights Percentage
WINDING SPRINGS PARTNERS, LLC	\$0	20%	20%	100%
Total	\$0	100%	100%	100%

CLASS A MEMBERS:

[illegible]

			0%
			0%
			0%
Total	\$[11,800,000]	80%	

**EXHIBIT B
TO
OPERATING AGREEMENT
OF
WINDING SPRINGS INVESTORS LLC**

Manager and Tax Matters Member:

MANAGER: CS3 Management, LLC.

PARTNERSHIP REPRESENTATIVE: CS3 Management, LLC.

PARTNER MEMBER: WINDING SPRINGS PARTNERS, LLC.

EXHIBIT C
TO OPERATING AGREEMENT OF
WINDING SPRINGS INVESTORS LLC,
COMBINED WRITTEN CONSENT OF THE MANAGER OF CS3 MANAGEMENT, LLC,
WINDING SPRINGS PARTNERS LLC,
AND WINDING SPRINGS PROPERTY LLC

The undersigned, being the Manager of **WINDING SPRINGS INVESTORS LLC**, a Wyoming limited liability company ("**Company**"), **WINDING SPRINGS PARTNERS LLC**, and **WINDING SPRINGS PROPERTY, LLC**, a Wyoming limited liability company ("**Property Company**"), and wholly owned subsidiary of the Company, hereby adopts this written consent, pursuant to the Company's Operating Agreement dated September __, 2025 (the "LLC Agreement"). Capitalized terms used, but not defined herein, have the meanings given to those terms in the LLC Agreement.

WHEREAS, the Company is the sole member of Property Company and Manager is the manager of the Company;

WHEREAS, the Company and Property Company desire to cause the Property Company to purchase the real property located at 1101 Nicholas St. Elizabethtown, Kentucky (the "Property");

WHEREAS, CS3 Investments, LLC ("**CS3**"), which is an Affiliate of the Manager, has entered into that certain Purchase and Sale Agreement effective as of August 10, 2025 (the "Purchase Agreement"), by and between CS3 Investments, LLC, to be assigned at closing to WINDING SPRINGS PROPERTY LLC, as buyer, that is wholly owned 100% by WINDING SPRINGS, LLC, a Wyoming limited liability ("**PropertyCo**") for the purchase of the Property anticipated to Close on November __, 2025 (as such agreement may have been amended, the "Purchase Agreement"), for the purchase of the Property; and

WHEREAS, CS3 Investors, LLC is willing to assign its rights under the Purchase Agreement to purchase the Property to the PropertyCo and PropertyCo desires to acquire the Property; and

WHEREAS, the Company and PropertyCo have determined that (i) the assumption of the Purchase Agreement by PropertyCo (ii) the consummation of the transactions contemplated in the Purchase Agreement by PropertyCo, and (iii) obtaining a Loan by the PropertyCo will inure to the Company's direct benefit and indirect benefit; and

WHEREAS, the Manager has previously approved the matters set forth herein pursuant to the LLC Agreement.

NOW, THEREFORE, the following resolutions are hereby adopted:

RESOLVED, that the PropertyCo is authorized to (i) assume CS3's rights and obligations under the Purchase Agreement, (ii) purchase the Property pursuant to the terms of the Purchase Agreement, and (iii) obtain the Loan; and

BE IT FURTHER RESOLVED, that Carlos Salguero (the "**Representative**"), acting on behalf of the Company and/or the PropertyCo as applicable, is authorized and empowered to take all steps and perform acts that such Representative deems, in the Representative's sole and absolute discretion, necessary to cause the PropertyCo to (i) assume CS3's rights and obligations under the Purchase Agreement, (ii) satisfy the obligations under the Purchase Agreement, (iii) comply with the terms of the Purchase Agreement as applicable to them, and (iv) obtain the Loan; and

BE IT FURTHER RESOLVED, that the Representative, acting on behalf of the Company, WINDING SPRINGS PARTNERS LLC, and the PropertyCo, as applicable, is authorized and empowered, to execute, endorse and/or deliver all assignments, affidavits, settlement statements, deeds, bills of sale, instruments, documents or other agreements (collectively, the "Documents"), which shall be required or which the Representative shall deem necessary, appropriate, advisable or expedient, in his sole and absolute discretion, in order to accomplish the foregoing purposes and such other documents as may ultimately be required to perform the obligations arising under the Purchase Agreement. All such Documents shall be in such form and contain such terms, provisions, conditions, covenants, warranties, and representations as the Representative shall, in his sole and absolute discretion, approve, the Representative's signature to the same being conclusive evidence of such approval; and

BE IT FURTHER RESOLVED, that the Representative, acting on behalf of the Company, WINDING SPRINGS PARTNERS, LLC and/or the PropertyCo, as applicable, is authorized and empowered to execute, approve, endorse, and deliver any promissory notes, mortgages, deeds of trust, financing statements, security agreements, assignments, indemnities or other documents required in connection with obtaining of the Loan. The Loan and any documents required in connection with the Loan shall be in such form and contain such terms as the Representative shall, in his sole discretion, approve, the Representative's signature to the same being conclusive evidence of such approval; and

BE IT FURTHER RESOLVED, that the actions of the Company in forming the PropertyCo and entering into the PropertyCo Operating Agreement are hereby ratified and approved; and

BE IT FURTHER RESOLVED, that the Representative, acting on behalf of the Company and the Property Company as applicable, is authorized to do any and all other acts necessary or appropriate to fully effectuate the foregoing; and

BE IT FURTHER RESOLVED, that any action previously taken by the Representative in connection with the Purchase Agreement or obtaining of the Loan are hereby ratified.

This Combined Written Consent of the Manager of **WINDING SPRINGS INVESTORS LLC, WINDING SPRINGS PARTNERS, LLC** and **WINDING SPRINGS PROPERTY LLC** shall be duly recorded in the records of the Company.

[Signatures Commence on Following Page]

IN WITNESS WHEREOF, the undersigned Manager of the Company, WINDING SPRINGS PARTNERS LLC, WINDING SPRINGS INVESTORS LLC and the WINDING SPRINGS PROPERTY LLC have executed this Written Consent effective as of September __, 2025.

MANAGER:

CS3 MANAGEMENT, LLC,
a Wyoming limited liability company

By: _____

Print Name: Carlos Salguero

Its: Manager

**EXHIBIT D
TO
OPERATING AGREEMENT
OF
WINDING SPRINGS INVESTORS LLC**

Loan Abstract

Property:

Property known as WINDING SPRINGS, a certain multi-family attached residential complex consisting of no less than one hundred eighty (180) apartment units commonly addressed at (the “Property”).

Collateral:

The collateral for the Loan shall include a grant in favor of Lender of customary security interests, including, without limitation: (i) a first priority fee mortgage on the Property; (ii) a first priority assignment of leases and rents on the Property; (iii) a first priority assignment of permits, licenses and contracts maintained and obtained by Borrower for the Property; (iv) a pledge of escrow, reserve and cash collateral accounts and sub-accounts; (v) an assignment of tenant security deposits and letters of credit, if any; (vi) UCC-1 financing statements; and (vii) all proceeds of the foregoing.

Lender: PGIM FANNIE MAE on behalf of or together with its affiliates or assigns, nominees, and/or designees (“**Lender**”).

Borrower:

The borrower (“**Borrower**”) shall be a special purpose bankruptcy remote entity with one (1) independent director, controlled by Borrower Sponsor, and formed exclusively for the purpose of owning and leasing the Property. Borrower’s form, structure and organizational documents shall be acceptable to Lender in its reasonable discretion and be consistent with prevailing standards with respect to special purpose entities and bankruptcy-remoteness.

Guarantor:

To be determined by Lender and terms likely consisting of maintaining a minimum net worth, excluding Guarantor’s equity in the Property, of at least one time the outstanding Loan Amount and demonstrable liquid net worth of no less than one time the annual projected debt service.

Loan Amount:

Up to \$28,000,000 subject to the underwriting parameters set forth therein.

**EXHIBIT E
TO
OPERATING AGREEMENT
OF
WINDING SPRINGS INVESTORS LLC**

Legal Description of Property

**A 180 Rental Units comprised of 168 Apartments and 12 Townhomes located at 1101
Nicholas St., Elizabethtown, KY 42701**

Name of Prospective Purchaser: _____
(Please Print)

State of Domicile: _____

WINDING SPRINGS INVESTORS LLC

SUBSCRIPTION AND ACCREDITED INVESTOR QUESTIONNAIRE

INSTRUCTIONS: IN ORDER TO INVEST IN UNITS OF WINDING SPRINGS INVESTORS LLC YOU MUST COMPLETE THIS ACCREDITED INVESTOR QUESTIONNAIRE BY FILLING IN THE INFORMATION CALLED FOR, CHECKING THE APPROPRIATE BOXES, AND SIGNING AT PAGE 5. THEN, YOU MUST COMPLETE THE SUBSCRIPTION AGREEMENT BY DESIGNATING THE NUMBER OF UNITS TO BE PURCHASED, PROVIDING THE INFORMATION REQUIRED AND SIGNING. NO SUBSCRIPTION IS EFFECTIVE UNTIL ACCEPTED BY THE COMPANY.

CONFIDENTIALITY: THE INFORMATION THAT YOU PROVIDE WILL BE USED SOLELY FOR PURPOSES OF MAKING VARIOUS DETERMINATIONS IN CONNECTION WITH THE COMPANY'S COMPLIANCE WITH APPLICABLE SECURITIES LAWS. NO FINANCIAL INFORMATION DISCLOSED HEREIN WILL BE DISCLOSED TO THIRD PARTIES OR USED FOR ANY PURPOSES OTHER THAN SUCH LEGAL DETERMINATIONS BY THE COMPANY AND ITS LEGAL COUNSEL.

Dear Sponsor:

In connection with the proposed purchase of a membership interest (the "Securities") in WINDING SPRINGS INVESTORS LLC (the "Company"), the undersigned hereby represents as follows:

1. **Subscription.** The undersigned is subscribing for the Interests in the amount indicated on the signature page to this Agreement for a proportionate share of the total offering of equity interests in Company in the amount of **Eleven Million Eight Hundred Thousand Dollars (\$11,800,000)** (the "Offering Amount"). Simultaneously with the execution of this Agreement, the undersigned shall pay and deliver the amount set forth on the signature page of this Agreement, in the form of a wire transfer to Winding Springs Investors LLC, a Wyoming limited liability company, addressed 9360 Federal Heights, Colorado 80260.

Wire transfers should be made as follows:

CHASE BANK
ABA Routing number (for U.S. transfers): 021000021
Account Name: Winding Springs Investors LLC
Account number: 2905050263
Reference: Sender's name (person or entity)

- A. The undersigned understands that the Offering will terminate on the earliest of: (a) the date the Company, in its sole discretion, elects to terminate the Offering, (b) the date upon which all Interests have been sold, or (c) November 26, 2025.
- B. The undersigned acknowledges that the Interests will be sold based on the date the Company receives the undersigned's completed and executed Agreement, Accredited Investor Questionnaire, and Operating Agreement (collectively the "Transaction Documents") and the related subscription payment.

CLASS A MEMBERSHIP INTEREST IN COMPANY OFFERED HEREBY IS A PASSIVE INTEREST AND SHALL NOT BE SUBJECT TO PERSONAL LIABILITY WITH RESPECT TO THE SPONSOR INTEREST OTHER THAN NORMAL INVESTMENT RISK.

2. **Representations as to Accredited Investor Status.** The undersigned has read the definition of "Accredited Investor" from Rule 501 of Regulation D attached hereto as "*Exhibit A*", and certifies that either (check only one):

- A. ☐ The undersigned is an "Accredited Investor" for one or more of the following reasons (check all that apply):
- ☐ The undersigned is an individual (not a partnership, corporation, etc.) whose individual net worth, or joint net worth with his or her spouse, presently exceeds One Million Dollars (\$1,000,000), excluding the equity in the investor's primary residence;
 - ☐ The undersigned is an individual (not a partnership, corporation, etc.) who had an income in excess of Two Hundred Thousand Dollars (\$200,000) in each of the two most recent years, or joint income with their spouse in excess of Three Hundred Thousand Dollars (\$300,000) in each of those years (in each case including foreign income, tax exempt income and full amount of capital gains and losses but excluding any income of other family members and any unrealized capital appreciation) and has a reasonable expectation of reaching the same income level in the current year;

- ☐ The undersigned is a director or executive officer of the Company, which is issuing and selling the Securities;
 - ☐ The undersigned is a corporation, partnership, business trust, or non-profit organization within the meaning of Section 501(c)(3) of the Internal Revenue Code, in each case not formed for the specific purpose of acquiring the Securities and with total assets in excess of Five Million Dollars (\$5,000,000); The undersigned is a trust with total assets in excess of Five Million Dollars (\$5,000,000), not formed for the specific purpose of acquiring the Securities, where the purchase is directed by a "sophisticated person" as defined in Regulation 506(b)(2)(ii);
 - ☐ The undersigned is an entity all the equity owners of which are "Accredited Investors" within one or more of the above categories. If relying upon this Category alone, each equity owner must complete a separate copy of this Agreement;
 - ☐ The undersigned is a natural person holding, in good standing, one or more professional certifications, designations or other credentials issued by an accredited educational institution, which the Securities and Exchange Commission may designate from time to time, as qualifying. Presently holders in good standing of the Series 7, Series 65, and Series 82 licenses will qualify as an accredited investor.
 - ☐ The undersigned is a natural person who is a "knowledgeable employee" as defined in Rule 3c-5(a)(4) under the Investment Company Act of 1940, of the private-fund issuer of the securities being offered or sold.
 - ☐ The undersigned is a Securities and Exchange Commission or state-registered investment adviser, exempt reporting adviser, and rural business investment companies.
- B. ☐ The undersigned is not an "Accredited Investor," but has such knowledge and experience in financial and business matters that he/she is capable of evaluating the merits and risks of the prospective investment. The undersigned further represents and warrants the following:
- i. The undersigned is an individual whose individual net worth, or joint net worth with his or her spouse, if applicable, is between:
 - ☐ \$200,000 or less.
 - ☐ Between \$200,000 and \$500,000
 - ☐ \$500,000 or more.
 - ii. The undersigned has gross income of:
 - ☐ \$60,000 or less.
 - ☐ Between \$60,000 and \$100,000
 - ☐ \$100,000 or more.

- iii. If the undersigned is an entity, please indicate the number of non-accredited investors in the entity ____.
- iv. The undersigned ☐ has ☐ has not personally invested in investments sold by means of private placements within the past five years.
- v. The undersigned has made the following investments during the past five years (include dates, nature and amounts of investment):

3. **Entity Type.** The undersigned is (check only one):

- ☐ An individual
- ☐ A limited liability company
- ☐ A corporation
- ☐ A partnership
- ☐ A trust
- ☐ Other:

2A: Is your entity a Disregarded Entity? Y or N

4. **Tax I.D. Number.** The social security number or federal tax I.D. number of the undersigned is:

_____.

5. **Address.** The address of the undersigned is:

The phone, fax and contact person (if an entity) are as

follows: Phone: _____

Fax: _____

Email: _____

Contact: _____

6. **Investment Intent.** By the execution of this questionnaire, the undersigned represents to the Company that the undersigned: (a) understands that the offering of the Securities has not been and will not be registered under the Securities Act of 1933, as amended, or state securities laws, by reason of claimed exemptions under the provisions of such laws which depend, in part, upon the undersigned's investment intention, (b) is purchasing or would purchase the Securities for the undersigned's own account for investment and not with a view toward the resale or distribution to others, and (c) was not formed for the specific purpose of purchasing securities of the Company.
7. **Accurate and True Statements.** The foregoing representation is true and accurate as of the date hereof and shall be true and accurate as of the date of Closing. If in any respect such representation shall not be true and accurate prior to Closing, the undersigned shall give immediate notice of such fact to the Managers of the Company.

[SIGNATURE PAGE TO FOLLOW]

{INDIVIDUAL SIGNATURE PAGE}

Dated: _____

Very truly yours,

Print Name of Investor: _____

{DIRECTOR OR EXECUTIVE OFFICER SIGNATURE PAGE}

Dated: _____

Very truly yours,

WINDING SPRINGS INVESTORS LLC, a
Wyoming limited liability company

By: _____

Print Name: _____

Title: _____

Dated: _____

Very truly yours,

_____, a

By: _____

Print Name: _____

Title: _____

WINDING SPRINGS INVESTORS LLC
9360 Federal Blvd.,
Federal Heights, Colorado 80260

Dear Investor,

Attached please find the following offering documents for your review and approval.

1. Private Placement Memorandum. Please review this document carefully as it outlines the details of the offering along with the various risks associated with your investment. There is no signature required on the Private Placement Memorandum.
2. Operating Agreement. Please review and execute the Operating Agreement. Please execute the appropriate signature page depending on whether you are investing as an individual, entity, self-directed IRA or trust. If investing through your self-directed IRA, then please sign and date on the margins next to the signature line and forward the Operating Agreement to your custodian who will execute the document on behalf of the IRA.
3. Accredited Investor Questionnaire. If applicable, please complete and sign in your individual capacity, even if you are investing through an entity, IRA, or trust.
4. Subscription Agreement. Please complete and execute the Subscription Agreement attached to the Accredited Investor Questionnaire. Please complete and execute the appropriate signature page depending on whether you are investing as an individual, entity, self-directed IRA or trust. If you are investing through your self-directed IRA, please sign and date on the margins next to the signature lines and forward the Subscription Agreement to your custodian who will execute the document on behalf of the IRA.
5. Business Plan. Please review the business plan carefully even if you have previously received and reviewed it as we may have made some important updates from the last time you read it.

Following closing, we will forward you a fully executed copy of all the agreements. Should you have any questions, please do not hesitate to contact us.

Regards,



Carlos Salguero, Manager

WINDING SPRINGS INVESTORS LLC
CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

THE INTERESTS REPRESENTED HEREBY HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND MAY NOT BE SOLD, PLEDGED OR OTHERWISE TRANSFERRED WITHOUT AN EFFECTIVE REGISTRATION THEREOF UNDER THE SECURITIES ACT OR AN OPINION OF LEGAL COUNSEL, THAT SUCH REGISTRATION IS NOT REQUIRED.

THE INTERESTS ARE BEING OFFERED AND SOLD UNDER THE EXEMPTION PROVIDED BY SECTION 4(A)(2) OF THE SECURITIES ACT AND/OR PURSUANT TO RULE 506(b), AND CONTEMPLATED TO CLOSE FOR CONVERSION TO RULE 506(c), THEREUNDER.

THERE IS NO OBLIGATION ON THE ISSUER TO REGISTER THE INTERESTS UNDER THE SECURITIES ACT. A PURCHASER OF ANY INTEREST MUST BE PREPARED TO BEAR THE ECONOMIC RISK OF THE INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

THE INTERESTS REPRESENTED HEREBY HAVE NOT BEEN REVIEWED OR APPROVED BY THE SECURITIES ADMINISTRATORS OF CERTAIN STATES OR OTHER JURISDICTIONS NOR HAVE THEY BEEN QUALIFIED OR REGISTERED UNDER THE APPLICABLE SECURITIES LAWS OF CERTAIN STATES OR OTHER JURISDICTIONS AND ARE BEING OFFERED AND SOLD IN RELIANCE ON EXEMPTIONS FROM THE QUALIFICATION OR REGISTRATION REQUIREMENTS OF SUCH LAWS. THEREFORE, A PURCHASER OF ANY INTEREST WILL NOT BE ABLE TO RESELL IT UNLESS THE INTEREST IS QUALIFIED OR REGISTERED UNDER THE APPLICABLE STATE SECURITIES LAWS OR LAWS OF OTHER JURISDICTIONS OR UNLESS AN EXEMPTION FROM SUCH QUALIFICATION OR REGISTRATION IS AVAILABLE.

THIS PRIVATE PLACEMENT MEMORANDUM HAS BEEN PREPARED FOR SUBMITTAL TO A LIMITED NUMBER OF POTENTIAL INVESTORS FOR CONSIDERATION OF THE PURCHASE OF AN INTEREST IN THE COMPANY AND IS FOR USE ONLY BY THE INTENDED RECIPIENT. IT IS NOT AUTHORIZED FOR ANY OTHER PURPOSE OR ANY UNINTENDED RECIPIENT. IF YOU ARE AN UNINTENDED RECIPIENT OR IF YOU ACCEPT DELIVERY OF THIS MEMORANDUM AND DO NOT PURCHASE AN INTEREST WITHIN THE TIME ALLOWED, YOU AGREE TO RETURN IT AND ALL ENCLOSED DOCUMENTS TO THE COMPANY. THIS MEMORANDUM MAY NOT BE REPRODUCED IN WHOLE OR IN PART OR FORWARDED TO OTHER POTENTIAL INVESTORS. IT MAY ONLY BE DISTRIBUTED AND DISCLOSED TO THE PROSPECTIVE INVESTORS TO WHOM IT IS PROVIDED DIRECTLY BY THE MANAGER.

PRIVATE PLACEMENT MEMORANDUM

WINDING SPRINGS INVESTORS

\$11,800,000¹

LIMITED LIABILITY COMPANY MEMBERSHIP INTERESTS

OFFERED AT \$100,000 PER UNIT (the “Offering”)

Winding Springs Investors LLC, a Wyoming limited liability company (“**Company**”), through its Sponsor Winding Springs Partners, LLC (“**Sponsor**”) and its manager CS3 Management, LLC (“**Manager**”), hereby initially offers to Accredited Investors (as defined in Rule 501(a) of Regulation D) (the “Accredited”), and as many as thirty-five (35) non-accredited investors who meet the sophistication requirements of Rule 506(b)(2)(ii) (the “Non-Accredited”), up to one hundred and eighteen (100) Class A Membership Units in the Company. Once the threshold for Non-Accredited Investors is obtained the Offering may be converted to from 506(b) to 506(c) for Accredited Investors only. The securities referenced in this Offering are being sold on a Best-Efforts basis pursuant to the federal securities exemption provided by Section 4(A)(2) of the Securities Act and/or pursuant to Rule 506(B), with contemplated conversion to 506(c) prior to closing of the Offering, promulgated thereunder. Proceeds from the Offering will principally be used for the purchase of a multifamily property located in Elizabethtown, County of Hardin, State of Kentucky.

Class A Interests	Price to Investors	Number of Units	Total Proceeds to Company
Offering	\$100,000	118	\$11,800,000

DATE OF THIS PRIVATE PLACEMENT MEMORANDUM OPENS: September 8, 2025 ²

¹ Sponsor reserves the right to raise or lower the amount offered to meet lending and operational requirements as needed.

² November 26, 2025 is the anticipated date to close this Offering under Reg D 506(b) or convert to Reg D 506(c) for Accredited Investors only. Sponsor reserved the right to close sooner upon receipt of Total Proceeds or extend the Closing Date at its sole discretion.

IMPORTANT NOTICES TO INVESTORS

INVESTMENT IN THE UNITS INVOLVES A HIGH DEGREE OF RISK, POTENTIAL CONFLICTS OF INTEREST, AND PAYMENT OF FEES TO THE MANAGER AND ITS AFFILIATES. PROSPECTIVE INVESTORS WILL BE REQUIRED TO REPRESENT THAT THEY ARE FAMILIAR WITH AND UNDERSTAND THE TERMS OF THE OFFERING. (SEE "RISK FACTORS," "CONFLICTS OF INTEREST" AND "COMPENSATION AND FEES TO THE MANAGER AND AFFILIATES.")

INVESTMENT IS NOT PERMITTED FOR PROSPECTIVE INVESTORS WHO LACK SUBSTANTIAL NET WORTH (SEE "QUALIFICATION OF INVESTORS"). ALTHOUGH THE MANAGER IS OF THE OPINION THAT THE COMPANY WILL BE CLASSIFIED AS A "LIMITED LIABILITY COMPANY" FOR FEDERAL INCOME TAX PURPOSES, THE INTERNAL REVENUE SERVICE ("IRS") HAS NOT BEEN REQUESTED TO ISSUE A RULING ON THE FEDERAL INCOME TAX STATUS OF THE COMPANY OR OTHER TAX ASPECTS OF THE INVESTMENT AND THE OPINION OF THE MANAGER IS NOT BINDING ON THE IRS.

THE UNITS HAVE NOT BEEN REGISTERED WITH NOR APPROVED OR DISAPPROVED BY THE UNITED STATES SECURITIES AND EXCHANGE COMMISSION ("COMMISSION") NOR HAS THE COMMISSION PASSED UPON THE ACCURACY OR ADEQUACY OF THIS MEMORANDUM. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

THIS OFFERING HAS NOT BEEN APPROVED OR DISAPPROVED UNDER APPLICABLE STATE SECURITIES LAWS, BY THE STATE DEPARTMENT OF CORPORATIONS, SECURITIES REGULATION DIVISION ("DIVISION"), NOR HAS ANY DIVISION REVIEWED OR PASSED UPON THE ACCURACY OF THIS OFFERING. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

THIS MEMORANDUM DOES NOT CONSTITUTE AN OFFER TO SELL TO OR A SOLICITATION OF AN OFFER TO BUY FROM ANYONE IN ANY STATE OR IN ANY OTHER JURISDICTION WITHIN WHICH SUCH AN OFFER OR SOLICITATION IS NOT AUTHORIZED.

DURING THE COURSE OF THE OFFERING AND PRIOR TO SALE, EACH OFFEREE OF THE UNITS AND THE OFFEREE'S ADVISOR(S) ARE INVITED TO ASK QUESTIONS OF AND OBTAIN ADDITIONAL INFORMATION FROM THE MANAGER CONCERNING THE TERMS AND CONDITIONS OF THE OFFERING, THE COMPANY, THE DEBT TO BE OWED BY THE COMPANY AND ANY OTHER RELEVANT MATTERS (INCLUDING, BUT NOT LIMITED TO, ADDITIONAL INFORMATION TO VERIFY THE ACCURACY OF THE INFORMATION SET FORTH HEREIN), TO THE EXTENT THE MANAGER POSSESSES SUCH INFORMATION OR CAN ACQUIRE IT WITHOUT UNREASONABLE EFFORT OR EXPENSE. OFFEREE'S OR ADVISORS HAVING QUESTIONS OR DESIRING ADDITIONAL INFORMATION SHOULD CONTACT THE MANAGER.

THIS MEMORANDUM, TO THE BEST OF THE COMPANY'S KNOWLEDGE AND BELIEF, DOES NOT CONTAIN AN UNTRUE STATEMENT OF A MATERIAL FACT OR OMIT TO STATE A MATERIAL FACT NECESSARY TO MAKE THE STATEMENTS MADE, IN LIGHT OF THE CIRCUMSTANCES UNDER WHICH THEY WERE MADE, NOT MISLEADING. IT CONTAINS A FAIR SUMMARY OF THE MATERIAL TERMS OF DOCUMENTS PURPORTED TO BE

SUMMARIZED HEREIN. THIS MEMORANDUM CONTAINS SUMMARIES OF CERTAIN DOCUMENTS, THAT ARE BELIEVED TO BE ACCURATE BUT REFERENCE IS HEREBY MADE TO THE ACTUAL DOCUMENTS, COPIES OF WHICH ARE ATTACHED HERETO OR ARE AVAILABLE AT THE OFFICE OF THE MANAGER, FOR COMPLETE INFORMATION CONCERNING THE RIGHTS AND OBLIGATIONS OF THE PARTIES HERETO. ALL SUCH SUMMARIES ARE QUALIFIED IN THEIR ENTIRETY BY THIS REFERENCE, AND NOTHING IN THIS MEMORANDUM SHALL EXTEND THE LIABILITY UNDER ANY SUCH DOCUMENTS OF ANY OF THE PARTIES HERETO. ALL DOCUMENTS RELATING TO THE OFFERING WILL BE MADE AVAILABLE TO THE OFFEREE NAMED BELOW AND/OR HIS ADVISOR(S) UPON REQUEST.

ANY ADDITIONAL INFORMATION OR REPRESENTATIONS GIVEN OR MADE BY THE COMPANY OR THE MANAGER IN CONNECTION WITH THIS OFFERING, WHETHER ORAL OR WRITTEN, ARE SUPERSEDED IN THEIR ENTIRETY BY THE INFORMATION SET FORTH IN THIS MEMORANDUM AND ITS EXHIBITS (ALL OF WHICH ARE INCORPORATED HEREIN BY REFERENCE), INCLUDING, BUT NOT LIMITED TO, THE RISK FACTORS DESCRIBED HEREIN.

THE OFFERING CAN BE WITHDRAWN AT ANY TIME BEFORE CONSUMMATION AND IS SPECIFICALLY MADE SUBJECT TO THE CONDITIONS DESCRIBED IN THIS MEMORANDUM. IN CONNECTION WITH THE OFFERING AND SALE OF THE UNITS, THE MANAGER RESERVES THE RIGHT, IN ITS SOLE DISCRETION, TO REJECT ANY SUBSCRIPTION IN WHOLE OR IN PART OR TO ALLOT TO ANY PROSPECTIVE INVESTOR LESS THAN THE UNITS SUBSCRIBED FOR BY SUCH PROSPECTIVE INVESTOR.

SINCE THERE ARE SUBSTANTIAL RESTRICTIONS ON THE TRANSFERABILITY OF THE UNITS, EACH OFFEREE MUST ASSUME THAT THE OFFEREE WILL BEAR THE ECONOMIC RISK OF THE OFFEREE'S INVESTMENT FOR AN INDEFINITE PERIOD. THE UNITS MAY NOT BE TRANSFERRED WITHOUT THE PRIOR WRITTEN CONSENT OF THE MANAGER. IN ADDITION, UNITS ARE NOT REGISTERED FOR SALE TO THE PUBLIC UNDER THE SECURITIES ACT OF 1933 OR THE SECURITIES LAWS OF ANY STATE AND THE UNITS MAY BE SOLD, TRANSFERRED OR OTHERWISE DISPOSED OF BY AN INVESTOR ONLY IF, AMONG OTHER THINGS, THE UNITS ARE REGISTERED OR, IN THE OPINION OF COUNSEL TO THE COMPANY, REGISTRATION IS NOT REQUIRED UNDER SUCH LAWS.

THIS MEMORANDUM HAS BEEN PREPARED SOLELY FOR THE USE OF PERSONS WHO MAY WANT TO PURCHASE UNITS AND DELIVERY THEREOF CONSTITUTES AN OFFER ONLY IF THIS MEMORANDUM WAS SENT TO PERSONS DIRECTLY FROM THE ISSUER OR ITS MANAGER AND IF THE PERSON SO NAMED MEETS THE SUITABILITY STANDARDS SET FORTH UNDER "QUALIFICATION OF INVESTORS." ANY DISTRIBUTION OF THIS MEMORANDUM TO ANY PERSON OTHER THAN THE INTENDED OFFEREE (OR TO THOSE INDIVIDUALS WHOM THE OFFEREE RETAINS TO ADVISE THE OFFEREE WITH RESPECT THERETO) IS UNAUTHORIZED AND ANY REPRODUCTION OF THIS MEMORANDUM IN WHOLE OR IN PART, OR THE DUE DILIGENCE OF ANY OF ITS CONTENTS, WITHOUT THE PRIOR WRITTEN CONSENT OF THE MANAGER, IS PROHIBITED.

NO REPRESENTATIONS OR WARRANTIES OF ANY KIND ARE INTENDED TO BE MADE IN THIS MEMORANDUM OR SHOULD BE INFERRED THEREFROM WITH RESPECT TO THE ECONOMIC RETURN OR THE TAX TREATMENT WHICH MAY ACCRUE TO THE INVESTOR. NO ASSURANCE CAN BE GIVEN THAT EXISTING TAX LAWS WILL NOT BE CHANGED OR INTERPRETED ADVERSELY, EITHER OF WHICH MAY DENY THE PROSPECTIVE

INVESTORS ALL OR A PORTION OF THE TAX TREATMENT CONSIDERED HEREIN. PROSPECTIVE INVESTORS ARE NOT TO CONSTRUE THE CONTENTS OF THIS MEMORANDUM AS LEGAL, TAX OR INVESTMENT ADVICE. EACH INVESTOR SHOULD CONSULT PROSPECTIVE INVESTOR'S OWN ATTORNEY, ACCOUNTANT AND OTHER ADVISORS AS TO LEGAL, TAX AND RELATED MATTERS CONCERNING A PURCHASE BY PROSPECTIVE INVESTOR OF A UNIT.

NO OFFERING LITERATURE OR ADVERTISING IN WHATEVER FORM WILL OR MAY BE EMPLOYED IN THE OFFERING EXCEPT FOR THIS MEMORANDUM AND STATEMENTS CONTAINED OR DOCUMENTS SUMMARIZED HEREIN. NO PERSON HAS BEEN AUTHORIZED TO MAKE ANY REPRESENTATIONS, OR GIVE ANY INFORMATION, WITH RESPECT TO THE UNITS, EXCEPT FOR INFORMATION CONTAINED OR REFERRED TO HEREIN.

FORWARD LOOKING STATEMENTS

This Memorandum contains certain statements that are forward-looking statements within the meaning of the United States federal securities laws. These are statements about the Company's or Manager's, or Sponsor's expectations, beliefs, intentions or strategies for the future. Prospective Investors will be able to identify these types of statements since they are indicated by words or phrases such as "anticipate," "expect," "intend," "plan," "will," "Company believes," "Manager believes" and similar language. In addition, these statements may be qualified by certain risks, uncertainties and assumptions which are explained more fully in each particular case. The Company has based forward- looking statements on the expectations of information currently available to the Manager. The Company's actual results may differ materially from the results anticipated in the statements.

These forward-looking statements are made only as of the date hereof, and the Company undertakes no obligation to update or revise the forward-looking statements, whether because of new information, future events or otherwise.

Although the Company believes that the expectations reflected in the forward-looking statements are reasonable, there can be no assurances that such expectations will prove to be accurate. All phases of the Company's operations are subject to several uncertainties, risks and other influences, many of which are outside the control of the Company and cannot be predicted with any degree of accuracy. Considering the significant uncertainties inherent in the forward-looking statements made in this Memorandum, the inclusion of such statements should not be regarded as a representation by the Company or any other person that the objectives and plans of the Company will be achieved.

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GLOSSARY OF TERMS

“Accredited Investor” shall have the definition as computed under Rule 501(a) of Regulation D promulgated under the Act, which means any person who comes within any of the following categories, or who the issuer reasonably believes comes within any of the following categories, at the time of the sale of the securities to that person, as better defined in the associated Subscription Agreement, as follows:

1. Any natural person whose individual net worth, or joint net worth with that person's spouse or spousal equivalent, exceeds \$1,000,000 at the time of purchase, excluding the value of that person's primary residence;
2. A natural person who had an individual income* (not including that of such person's spouse) in excess of \$200,000 in the two preceding calendar years or joint income with his or her spouse in excess of \$300,000 in each of those years, and who reasonably expects the same level of income in the current calendar year.
3. Intentionally deleted.
4. Any director, executive officer, or general partner of the issuer of the securities being offered or sold, or any director, executive officer, or general partner of a general partner of that issuer;
5. Any entity in which all of the equity owners are accredited investors;
6. Any bank as defined in section 3(a)(2) of the Act or any savings and loan association or other institution as defined in Section 3(a)(5)(A) of the Act whether acting in its individual or fiduciary capacity; any broker dealer registered pursuant to Section 15 of the Securities Exchange Act of 1934; insurance company as defined in Section 2(13) of the Act; investment company registered under the Investment Company Act of 1940 or a business development company as defined in Section 2(a)(48) of that Act; Small Business Investment Company licensed by the U.S. Small Business Administration under Section 301(c) or (d) of the Small Business Investment Act of 1958; employee benefit plan within the meaning of Title I of the Employee Retirement Income Security Act of 1974, if the investment decision is made by a plan fiduciary, as defined in Section 3(21) of such Act, which is either a bank, savings and loan association, insurance company, or registered investment adviser, or if the employee benefit plan has total assets in excess of \$5,000,000; or, if a self-directed plan, with investment decisions made solely by persons that are accredited investors;
7. Any private business development company as defined in Section 302(a)(22) of the Investment Advisers Act of 1940;
8. Any organization described in Section 501(c)(3) of the Internal Revenue Code,

* Please note that “income” does not necessarily refer simply to gross income or total revenues. For instance, under certain circumstances, operating expenses or costs of revenues should be deducted from total income. Income for a particular year may be calculated by adding to adjusted gross income as calculated for federal income tax purposes any deduction for depletion allowance, any exclusion for tax exempt interest and any losses of an entity taxed as a partnership allocated to the Subscriber. **Please also note that prospective Class A Members are not to construe this paragraph or any of the other contents of this Subscription Agreement as legal, tax or investment advice. Each prospective Subscriber should consult such Subscriber's own legal counsel, accountant or investment adviser as to legal, tax and related matters concerning such Subscriber's purchase of any Interests.**

corporation, Massachusetts or similar business trust, or partnership, not formed for the specific purpose of acquiring the securities offered, with total assets in excess of \$5,000,000; and

9. Any trust with total assets in excess of \$5,000,000, not formed for the specific purpose of acquiring the securities offered, whose purchase is directed by a sophisticated person as described in Rule 506(b)(2)(ii) of Regulation D promulgated under the Act.

10. A natural person holding, in good standing, one or more professional certifications, designations or other credentials issued by an accredited educational institution, which the Securities and Exchange Commission may designate from time to time, as qualifying. Presently holders in good standing of the Series 7, Series 65, and Series 82 licenses will qualify as an accredited investor.

11. Natural persons who are "knowledgeable employees" as defined in Rule 3c-5(a)(4) under the Investment Company Act of 1940, of the private-fund issuer of the securities being offered or sold.

12. Entities, including, but not limited to, limited liability companies, of a type not listed in Rule 501(a)(1), (a)(2), (a)(3), (a)(7) or (a)(8) of Regulation D promulgated under the Act, not formed for the specific purpose of acquiring the securities offered, owning investments in excess of \$5 million.

13. Securities and Exchange Commission and state-registered investment advisers, exempt reporting advisers, and rural business investment companies.

14. Indian tribes, governmental bodies, funds, and entities organized under the laws of foreign countries, that own "investments," as defined in Rule 2a51-1(b) under the Investment Company Act, in excess of \$5 million and that was not formed for the specific purpose of investing in the securities offered.

15. Family offices (as defined in Rule 302(a)(11)(G)-1 under the Advisers Act with (i) assets under management in excess of \$5 million, (ii) that are not formed for the specific purpose of acquiring the securities offered and (iii) whose prospective investments are directed by a person who has such knowledge and experience in financial and business matters that such family office is capable of evaluating the merits and risks of the prospective investment.

16. "Spousal equivalent" (cohabitant occupying a relationship generally equivalent to that of a spouse) may pool their finances for the purpose of qualifying as accredited investors.

"Acquisition Fee" means a one-time acquisition fee of three percent (3%) of the purchase price of the Property, which shall be paid to Manager at closing of the purchase of the Property.

"Act" or "Securities Act" means The Securities Act of 1933, as amended.

"Affiliate" of a Member or Manager means any person, entity, or trust, directly or indirectly, through one or more intermediaries, controlling, controlled by, or under common control with the Member or a Manager, as applicable. The term "control," as used in the immediately preceding sentence, means with respect to a corporation, limited liability company, limited life company or limited duration company (collectively, "Limited Liability Company"), the right to exercise, directly or indirectly, more than fifty percent (50%) of the voting rights attributable to the controlled corporation or Limited Liability Company and, with respect to any individual, partnership, trust, estate, association or other entity, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of the controlled entity.

“Agreement” or “Operating Agreement” means the Operating Agreement of the Company, attached hereto as **Exhibit “A”**, or as hereafter amended.

“Asset Management Fee” means an asset management fee of three percent (3%) of gross revenues paid to Manager on a monthly basis.

“Best Efforts” means the type of securities offering Sponsor intends to conduct. Sponsor shall do the best it can to sell as much of the securities targets as possible but will commence operations as soon as the first Prospective Investor is accepted. Immediately upon accepting the first investor, Sponsor may use the proceeds to conduct operations including, but not limited to, paying 3rd party vendors, such as architects, SEC attorneys, real estate attorneys, etc.

“Capital Contributions” means the contributions made by the Members to the Company pursuant to Sections 6.1 or 6.4 of the Operating Agreement and, in the case of all the Members, the aggregate of all such Capital Contributions.

“Capital Transaction Event” means the sale or refinance of the Property, or sale of substantially all of the assets of the Company or upon dissolution (or net proceeds of refinance or liquidation, as the case may be).

“Class A Interest” means an Interest that is held by a Class A Member.

“Class A Member(s)” Person(s) admitted as Class A Members by the Manager.

“Class B Member” means the holder of Class B Membership Units. The Class B Member is Winding Springs Partners LLC, a Wyoming limited liability company.

“Company” means this Company: WINDING SPRINGS INVESTORS LLC, a Wyoming limited liability company.

“IRA” means an individual retirement account.

“Manager” means this Company’s Manager(s): CS3 MANAGEMENT LLC, the Sponsor.

“Memorandum” means this Private Placement Memorandum.

“Member(s)” means the holder of Class A Membership Units and Class B Membership Units.

“Membership Unit” or “Unit” mean the interest of a Class A or Class B Member and the rights to receive profits or other compensation by way of income, and the return of contributions as set forth in the Agreement, and the rights, powers and privileges appurtenant thereto.

“Net Capital Proceeds” means the excess of sale or refinance revenue, over sales or refinance costs and fees, including but not limited to repayment of debt, sales commissions, sales fees, establishment of necessary Reserves, cash expenditures incurred incident to the sales process, refinance/origination fees, broker fees, and any other cash expenditures incurred in the refinance of the Property. Any reserves returned to the Company by any lending institution, or any other source may be considered a Capital Transaction Event and part of Net Capital Proceeds in the Manager’s sole discretion.

“Net Cash Flow” means the excess of all cash revenues of the Company relating to the direct or indirect ownership and operations of the Property other than revenue attributable to a Capital Transaction Event, over operating expenses and other expenditures for such fiscal period, including but not limited to principal and interest payments on indebtedness of the Company, other sums paid to lenders, and cash expenditures incurred incident to the normal operation of the Company’s business, decreased by (i) any amounts added to Reserves during such fiscal period and (ii) the Asset Management Fee, and increased by (i) the amount (if any) of all allowances for cost recovery, amortization or depreciation with respect to property of the Company for such fiscal period, and (ii) any amounts withdrawn from Reserves during such fiscal period.

“Offer” or “Offering” means this offer to sell Class A Membership Units in the Company.

“Percentage Interest” or “Interest” means the allocable interest of each Member in the income, gain, loss, deduction or credit of the Company, as set forth in the Operating Agreement.

“Person(s)” means a natural person or any partnership (whether general or limited and whether domestic or foreign), limited liability company, foreign limited liability company, limited life company, limited duration company, trust, estate, association, corporation, custodian, nominee or any other individual or entity in its own or any representative capacity or any other entity.

“Project” means the proposed business of the Company (i.e., acquisition of the Property and subsequent operations and selling the Property for a profit).

“Property” means that certain attached mixed-use apartment and townhome complex consisting of no less than one hundred eighty (180) residential units addressed 1101 Nicholas St. Elizabethtown, Kentucky, that the Company is under contract and intends to acquire with the proceeds of this Offering. The Property will purchase, and title, in the name of Winding Springs Property LLC, a Kentucky limited liability company that is 100% owned by Company.

“Property Manager” means CS3 Management, LLC, a third-party property management company, or any other entity approved and designated by the mortgagor.

“Prospective Investor(s)” means Accredited Investor(s) (thirty-five non-accredited investors excepted), as defined in Reg. D, Rule 501 that are qualified through a third-party verification company and no non-Accredited Investors are permitted to purchase of Class A Membership Units.

“Register” means the records maintained by the Manager setting forth, with respect to each Member, the name, address, amount of Capital Contribution, and Percent Interest, and class of each Member and such other information as the Manager may deem necessary or desirable. The Register shall not be part of the Agreement. The Manager shall from time to time update the Register as the Manager shall deem necessary or advisable, including, without limitation, to reflect the admission of subsequent Members or increase in Percent Interest of Members. Subject to the terms of the Agreement, the Manager may take any action authorized hereunder in respect of the Register without any need to obtain the consent of any other Member. No action of any Member shall be required to amend or update the Register.

“Reserves” means all reserves established by the Manager in its sole discretion for Company purposes, including, but not limited to, operating expenses and other working capital needs, liabilities, and taxes.

“Sanctioned Country” or “Sanctioned Countries” – means a country or countries identified by the U.S. Department of Treasury’s Office of Foreign Assets Control that is subject to a sanction.

“Sponsor(s)” means Winding Springs Partners, LLC (through its general partner and third-party manager. Sponsor is also the Manager.

“Unrecovered Capital Contribution” shall mean Class A Member’s initial Capital Contributions minus any return of capital from Net Capital Proceeds. In this Offering, Sponsors have elected to treat quarterly distributions from Net Cash Flow as a return on investment and returns from Net Capital Proceeds as a return of capital.

SUMMARY OF THE OFFERING

This summary of certain provisions of the Memorandum is intended only for a quick reference and is not intended to be complete. This Memorandum describes in detail numerous aspects of the transaction which are material to Prospective Investors, including those summarized below, and this Memorandum and the accompanying Exhibits must be read in their entirety by reference to the full text of this Memorandum and the underlying documents.

The Offering	Winding Springs Investors, LLC, is offering an aggregate of up to Eleven Million Eight Hundred Thousand Dollars (\$11,800,000) through one hundred and eighteen (118) Class A Membership Units at a purchase price of One Hundred Thousand Dollars (\$100,000) per Unit, unless a lesser amount is approved by Manager. Class A Members will own 80% of the Company while Class B Members will retain the remaining 20%.
Purpose of the Offering	The purpose of this Offering is to purchase the Property and subsequently implement a value-add strategy that Sponsor believes will drive occupancy and net operating income up, thus increasing the value of the Property through Sponsor’s skilled leasing programs or other income generation strategies and cost optimization programs depending on the Sponsor’s calculation if the best value-added strategy.
The Property	Means that certain apartment and townhome complex consisting of no less than one hundred eighty (180) residential apartment and townhome units commonly addressed 1101 Nicholas St., Elizabethtown, Kentucky, which the Company intends to acquire with the proceeds of this Offering.
Minimum Investment	\$100,000 unless lesser amount approved by Manager.
Manager	CS3 MANAGEMENT LLC.
Property Manager	CS3 MANAGEMENT LLC.
Eligible Investors	Company will accept Accredited Investors, and up to thirty-five (35) non-accredited investors, as defined by Reg D, Rule 506(b) of the Act.
Fees	Manager or its Affiliates shall collect the following fees: (a) The Acquisition Fee.

- (b) The Asset Management Fee.
- (c) The Refinance Fee, if any, as defined in the Operating Agreement.
- (d) The Sale/Exit Fee

Allocation of Benefits

Net Cash Flow From Operations:

- (a) First, 80% of Net Cash Flow shall be paid to Class A Members.
- (b) Second, 20% of Net Cash Flow shall be paid to Class B Member.

Risk Factors

The purchase of the Membership Units involves a high degree of risk to the Prospective Investor including certain risks relating to regulatory, operating, tax and investment matters. (See “RISK FACTORS.”) A decision to invest in the Units should be reached only after carefully reading this entire Memorandum, including its Exhibits.

Operating Agreement

Each Prospective Investor will be admitted as a Class A Member of the Company pursuant to the terms of the Operating Agreement, which will be executed, upon the admission of the first Member to the Company, by the Class B Member.

QUALIFICATION AND SUITABILITY OF INVESTORS

Prospective Investors Can Be Both Accredited or Non-Accredited

This Offering is initially offered to both Accredited and Non-Accredited Investors as such are defined in Reg D, Rule 501 of the Act. Prospective Investors will be asked to represent their status in the attached Accredited Investor Questionnaire (See **Exhibit “B”**) and executed the Subscription Agreement incorporated therein.

Prospective Investor May Not Be a Bad Actor

Prospective Investors may be subject to additional information requests and certifications based on the SEC’s “bad actor” rules that would disqualify securities offerings from the Rule 506 exemption if an issuer or other relevant persons have been convicted of, or are subject to court or administrative sanctions for, securities fraud or other violations of specified laws. Relevant persons includes “any affiliated issuer; any director, executive officer, other officer participating in the offering, general partner or managing member of the issuer; ***any beneficial owner of 30% or more of the issuer’s outstanding voting equity securities, calculated on the basis of voting power***; any promoter connected with the issuer in any capacity at the time of such sale; any investment manager of an issuer that is a pooled investment fund; any person that has been or will be paid (directly or indirectly) remuneration for solicitation of purchasers in connection with such sale of securities; any general partner or managing member of any such investment manager or solicitor; or any director, executive officer or other officer participating in the offering of any such investment manager or solicitor or general partner or managing member of such investment manager or solicitor.”

Types of Investors

Prospective Investors may be individuals, entities, trusts, IRAs, or other retirement plans. Although the Employment Retirement Income Security Act of 1974 (“ERISA”) generally states that benefit plans that own, in the aggregate, more than twenty five percent (25%) or more of the Percentage Interest in the Company, may be subject to the “Plan Asset Rules” (which could subject the Company to additional fiduciary responsibilities and reporting requirements). Sponsors believe that the Company is not subject to the “Plan Asset Rules” or is exempt from them since the Company, among other things, is primarily engaged in the business of real estate investing.

1031 Tax-Deferred Exchange

Prospective Investors who are looking to exchange current real estate for Membership Units are not eligible for this Offering if they intend to use 1031 tax-deferred exchange proceeds as it is likely that the IRS will not consider the Membership Units a “like-kind exchange” as required under the Internal Revenue Code. However, if significant 1031 tax-deferred exchange proceeds are available from a Prospective Investor, Manager may elect to restructure the Offering in order to accommodate 1031 investors, subject to any limitations imposed by the Internal Revenue Service.

International Investors

The United States Department of Treasury’s Office of Foreign Assets Control (“OFAC”) keeps a list of “Specially Designated Nationals” or “Blocked Persons.” The Company may not and will not sell to any Prospective Investors found on these lists and will prohibit any resales or transfers to such designated individuals.

In addition, no Membership Units shall be offered or sold to any Prospective Investor who (i) is a person residing in a Sanctioned Country, (ii) is an organization controlled by a Sanctioned Country, (iii) is an agency of a Sanctioned Country, (iv) has fifteen percent (15%) of its assets in the aggregate in a Sanctioned Country, and/or (v) derives more than fifteen percent (15%) of its operating income from investments in, or transactions with Sanctioned Countries or “Specially Designated Nationals” or Blocked Persons.”

AML- USA PATRIOT ACT

Federal law requires Manager to obtain, verify, and record information that identifies each Person who subscribes to the Offering. (See **Exhibit “B”, Subscription Agreement** included in the **Accredited Investor Questionnaire**). This information will assist the Manager in ensuring that Prospective Investor in not engaging in any money laundering activities and assist the government in fighting the funding of terrorism.

Representations and Warranties

Investment in the Units involves substantial risk and is suitable only for persons of financial means who have provided for liquidity in their other investments. The representations made by, and the information provided by, each Prospective Investor will be reviewed to determine his, her or its suitability and eligibility, and the Company will have the unfettered right to refuse a subscription for Units if, in its sole discretion, it believes that the Prospective Investor does not meet the applicable suitability requirements, or the Units are otherwise an unsuitable investment for the Prospective Investor.

Each Prospective Investor must also satisfy the Manager that the Prospective Investor can bear a total loss of investment. Manager will also require the Prospective Investors to represent that the Prospective Investors are acquiring the Units for investment and for their own account, and not with a view to resale or

distribution. Prospective Investors are purchasing restricted securities, and the resale of the Units is subject to extensive restrictions (see “RESTRICTIONS ON TRANSFER”). It is not expected that any public market for the resale of the Units will develop.

THE COMPANY

Winding Springs Investors LLC, (the "Company"), was formed when its Articles of Organization were filed with the Wyoming Secretary of State pursuant to the Wyoming Limited Liability Company Act, Title 6, Chapter 18, Section 18-101, et. seq. The Company has yet to commence operations. The address of the Company shall be at 9360 Federal Boulevard, Federal Heights, Colorado 80260.

THE OFFERING

General

This Private Placement Memorandum describes an Offering to Prospective Accredited Investors, and as many as thirty-five (35) non-accredited investors, of Class A Membership Units in Winding Springs Investors LLC, a limited liability company formed under the state laws of Wyoming. An aggregate of up to one hundred and eighty (180) Class A Membership Units are being offered for a purchase price of One Hundred Thousand Dollars (\$100,000) per Unit, which represents eighty percent (80%) ownership in the Company. In the event the loan terms change, or any unforeseen operational circumstances arise, Sponsor reserves the right to raise or lower the offering amount of Eleven Million Eight Hundred Thousand Dollars (\$11,800,000) will be raised at the sole discretion of the Manager. Twenty percent (20%) of the Company will be owned by the Class B Member and its partners, successors and assigns as the Sponsor. If for any reason the Property is not purchased, then Class A Members will receive a return of their initial Capital Contribution.

The Units are offered on a Best-Efforts basis and is scheduled to close on or before November 26, 2025, unless extended by the Manager. The Company shall have the option to extend the Offering if such extension is warranted. Investments may be made in increments of at least one (1) Unit of One Hundred Thousand Dollars (\$100,000) as the minimum investment, additional amounts can be fractional units for example fifty thousand dollars will correspond to half a unit. The Manager retains sole discretion to allow a lower minimum investment or set a higher minimum investment. The securities shall be considered sold to Prospective Investors on the date Manager accepts and countersigns the Subscription Agreement attached hereto and funds are received by the Company.

The day-to-day operations of the Company will be run by CS3 MANAGEMENT LLC, the Sponsor(s) through its third-party manager, and therefore the Prospective Investors will have no or extremely limited input in this Project. This is truly a passive investment for Class A Members.

The purpose of this Offering is to raise monies to enable the Company to purchase the Property, and subsequently seek to increase the value and operate the Property for a profit, whether through long-term leasing strategies or conversion to condominium and sale of units to maximize return on investment in Sponsor's sole financial planning (See **Exhibit “C”, Business Plan**). There is no assurance these objectives can be obtained.

The Prospective Investors' initial cash contributions will be deposited into a segregated checking account. Upon execution of the Subscription Agreement by the Manager and receipt of the investment funds, the Class A Members will be admitted to this Company. All fees and compensation to the Manager and its Affiliates will be paid from the account, as well as reimbursable expenses relating to the Offering, including

due diligence, legal, accounting, travel, printing and other acquisition costs.

Allocations and Distributions From Operations

All distributions made to Class A Members will be based on a calendar year quarterly basis (October 1, January 1, April 1 and July 1). Actual distributions will follow approximately forty-five (45) days following the conclusion of the calendar quarter.

Net Cash Flow shall be allocated and distributed as follows:

First, 80% of Net Cash Flow shall be paid to Class A Members.

Second, 20% of Net Cash Flow shall be paid to Class B Member.

Allocations and Distributions From Capital Transaction Event

Net Capital Proceeds from a Capital Transaction Event shall be allocated and distributed as follows:

First, Class A Members shall receive 80% of all Net Capital Proceeds.

Second, Class B Member shall receive 20% of all Net Capital Proceeds.

Exempt Offering

While this Offering is made to various parties, it is not a registered offering under federal securities laws. This Offering is being made pursuant to the private offering exemption of Section 4(a)(2) of the Act and/or Rule 506(b) of Regulation D promulgated under the Act. This Offering is also being made in strict compliance with the applicable state securities laws. Each Prospective Investor must represent that the Prospective Investor is acquiring the Membership Units for investment purposes only and not with a view to resale or distribution. All Units are offered subject to prior sale, when, as and if issued, and subject to the right of the Manager to reject any subscription in whole or in part. The Company will only sell Units to persons meeting its suitability standards, which the Company's Manager may determine in its sole and absolute discretion.

BUSINESS DESCRIPTION

The purpose of this Offering is to acquire the Property and subsequently implement a value-add strategy as outlined in the Company's Business Plan attached as **Exhibit "C"**.

The strategy includes leasing property at market rates of \$1550 per unit average at present 90%+ occupancy in year one with yearly 4 to 4.5% increases, and then value added services for additional potential income streams to include, but not limited to, amenity fees, short term and corporate furnished rental units that may add additional Property value, subject to market conditions.

This strategy should generate an estimated 5-7% cash on cash return to investors. As value of the property increases Sponsor will seek to refinance the property in years 4-5 and return 50-75% of the capital to investors from the refinance proceeds subject to interest and market conditions.

The Manager believes such improvements will allow the Company to command higher rents commensurate with rents of comparable properties in the area thereby increasing the Property's resale

value. The Company plans to operate the Property for approximately seven (7) to ten (10) years (or at a time when the Manager believes it will be advantageous to the Members); after which the Company will sell or refinance the Property.

MANAGER

The Class B Member may appoint the Manager of the Company to supervise day-to-day operations of the Company. In no instance shall there be less than one Manager. The Class B Member has selected CS3 MANAGEMENT, LLC to be the Manager of the Company. As such, the Manager has the power and authority, on the Company's behalf and in its name, to manage, administer, and operate the Company's day-to-day business affairs, and to do or cause to be done on behalf of the Company anything necessary or appropriate for the same, including but not limited to the powers and authority set forth in the Operating Agreement. The Manager's power and authority is subject to the limitations set forth in the Agreement. The Manager shall serve as Manager until resignation or its successors are appointed by the Members as provided in the Agreement.

COMPENSATION AND FEES TO THE MANAGER AND AFFILIATES

The Company shall reimburse the Manager for any direct funds or expenses advanced by it prior to or after formation of the Company to the extent that such expenses are incurred or paid directly on behalf of the Company.

The Manager and its Affiliates shall be entitled to collect the following fees:

- (a) The Acquisition Fee of 3% of the purchase price of the Property.
- (b) The Asset Management Fee of 3% of monthly gross revenue.
- (c) Refinance Fee of 1% of the Loan Amount.
- (d) Exit fee of 2% of the Sale Price of the Property.

As noted in the Offerings section above, Class B Member, its successors and assigns, will also participate in the distribution of Net Cash Flow and Net Capital Proceeds.

SELLING AGENT

Units are being offered directly through the Company. No commissions of any kind will be paid to selling agents or brokers.

MANAGEMENT OF THE PROPERTY

Manager has elected to hire CS3 Management, LLC, a third-party property management company. The Compensation rate will be in line with market rates.

RISK FACTORS

The purchase of the Membership Units involves a high degree of risk to the Prospective Investor including certain risks relating to regulatory, operating, tax and investment matters. Prospective investors for Membership Interests in the Company should give careful consideration to the following risk factors contained

herein. An investment in the Company for a Membership Interest involves risk and is suitable only for persons of financial means who have no need for liquidity in investments and who can afford the possible loss of their entire investment. Prospective Investors should consult with their own professional advisor(s) to carefully consider the following factors, the Operating Agreement, and the Company.

Real Estate Risks

Risks of Real Estate in General

The risks and benefits of investment in real estate depend upon many factors over which the Company has little or no control, including, without limitation, (i) changes in the economic conditions in the country in general, and in the area in which the Property is located, which changes could give rise to a decrease in local demand, an increase in local supply of land, an increase in unemployment, a change in the characteristics of the area in which the real property is located, and restrictive governmental regulation. This risk includes the risk of a severe economic downturn, similar to the last downturn in 2008, which could affect real estate values significantly to the downside, (ii) various uninsurable risks, (iii) increases in the costs in excess of the budgeted costs, and (iv) the continuing advance of certain provisions of the federal, tax laws, (iv) government zoning or regulatory changes that could limit the Company's expansion plans, and (v) on-site utility failures that could cause the Company to close certain facilities.

Due Diligence

The due diligence process may not reveal all material defects affecting or may not reveal all weaknesses present with the Property. There can be no assurance that the due diligence processes will uncover all material facts that would be necessary to the Manager's decision to acquire the Property. The Manager will assess the strength of the Property and any other factors the Manager believes is material. In making the assessment and otherwise conducting customary due diligence, the Manager will rely on the resources available and, in some cases, investigations by third parties. There can be no guarantees that this due diligence process will uncover all necessary, pertinent, or material facts, including negative facts, regarding the Property.

Economic Uncertainties

The success of the Company will depend upon certain factors, which are beyond the control of the Manager and cannot be predicted accurately at this time. Such factors include general and local economic conditions, increased competition, increased construction costs, changes in demand, and limitations, which may be imposed by government regulation. Prospective Investors should also be aware that if the Company experiences liquidity constraints, the Members may find it prudent or necessary to fund deficits that are not funded from company receipts and therefore made available to the Company to provide any required funds to meet such deficits to protect their investment in the Company. The Members, however, would not be under any legal obligation to pay such additional funds.

Environmental Hazards

If the Property contains or becomes contaminated with, toxic or hazardous substances, the value and the marketability of the Property will decrease, and it may impact the overall investment in the Company. Additionally, the Company could incur significant costs in fines and clean-up costs associated with such hazardous substances. While the Manager will make reasonable investigations into whether the Property contains toxic or hazardous substances, these investigations will not guarantee that the Property is free of toxic or hazardous substances, nor can the Manager ensure that the Property will

not become contaminated with toxic or hazardous substances after the investment.

Change in the United States Government Lending Policy

Fannie Mae and Freddie Mac are a major source of financing for the commercial real estate sector. In February 2011, the Obama Administration released a report to Congress that included options, among others, to gradually shrink and eventually shut down Fannie Mae and Freddie Mac. We do not know whether the current administration or future administrations would continue with this restriction. We do not know when or if Fannie Mae or Freddie Mac will restrict their support of lending to the real estate sector or to the Company in particular. A final decision by the government to eliminate Fannie Mae or Freddie Mac or reduce their acquisitions or guarantees of our mortgage loans, may adversely affect interest rates, capital availability and the ability to refinance any existing mortgage obligations as they come due.

Natural Disasters

The occurrence of one or more natural disasters, such as tornadoes, hurricanes, fires, floods, hailstorms, outbreaks, earthquakes, unusual weather conditions, epidemic outbreaks such as Ebola, Zika, Covid-19 virus or measles, terrorist attacks or disruptive political events in certain regions where the Property is located could adversely affect the Property and result in lower revenues. Natural disasters including tornadoes, hurricanes, floods, hailstorms, and earthquakes may damage our operations, which may materially adversely affect our consolidated financial results. Any of these events could have a material adverse effect on the Company's financial condition and the results of operations.

Vacancy and Tenant Defaults

The Company will depend on revenue generated from the rental income of the Property to pay the operating expenses for the Company and the debt service payments (as well as distributions to the Members). Vacant units and/or defaults by tenants could reduce the number of distributions that might otherwise be available for payment of its expenses and/or distribution to the Members.

A vacancy or tenant's default of its rent will cause the Company to lose the revenue from that unit and if enough effective vacancies occur, the Company may be required to find an alternative source of revenue to meet its debt service payments and other operating expenses for the Property. In the event of a tenant default, the Company may experience delays in enforcing its rights as a landlord and may incur substantial costs in evicting the tenant and re-renting the unit.

Appeal of the Property

A major risk of owning real estate is the appeal. The appeal to prospective tenants and/or buyers of any given property depends, among other things, upon unpredictable public tastes and such appeal cannot be predicted in advance with any degree of certainty. Tenant and buyer trends can often change making a particular geographical area more or less desirable than before. While the experience and talent of the persons involved with a property generally improve the chances of any given project achieving success, there can be no assurance that the Property will appeal to prospective tenants or buyers and could therefore affect the overall performance of the Property.

Competition

The Company will compete with other owners and operators of similar properties in the same market in which the Property is located. The number of competitive properties in a particular area could have a material adverse effect on the ability to lease sites and increase rents charged at the Property. If competitors offer rental rates below current market rates or below the rental rates currently charged to tenants of the Property, the Company may lose potential tenants and may be pressured to reduce its rental rates below those currently charged to retain tenants when their leases expire. As a result, the Company's financial condition, cash flow, cash available for distribution, and ability to satisfy the Company's debt service obligations could be materially adversely affected.

Operating Risk

Profitability

The Company is a newly formed entity, which had no operation prior to this Offering. There can be no assurance that the Company will operate profitably in the future.

Property Demand

The Sponsor's financial projections are based on analysis of current demand and economic conditions. There is no guarantee that the same demand or economic conditions will exist at the time operations of the Property begins or when the Sponsor plans to refinance or sell the Property.

Distributions

The Company does not promise distributions of specific amounts to the Members. The availability of cash for distributions will depend on market factors outside of the Manager's control. Furthermore, the availability of distributions and, the timing thereof will be determined at the sole discretion of the Manager.

Likelihood of Success-Business Risks

The likelihood of success of the Company must be considered in the light of the problems, expenses, difficulties, complications, and delays frequently encountered in connection with the acquisition, operation, improvement, and sale of real estate in general, and the Property specifically. There can be no assurance the Company will be able to operate, improve or sell the Property, or that the Company will be able to achieve profitability.

Risk of Interpretation of Real Estate Documents and Agreements

There are certain risks in connection with any real estate acquisition and financing resulting from the drafting and subsequent interpretation of mortgages, deeds, leases, purchase agreements, Management contracts, franchisee agreements, etc. Any documents describing the Property, or the legal relations thereto could be subject to various interpretations and potential disputes. While legal counsel will review certain legal documents, it is impossible to prevent and be secured against such various differing interpretations.

Risks of Real Estate Ownership

Real estate is not readily marketable. It is fixed in location and is subject to adverse social and economic changes and uses, rising operating costs, construction-related deficiencies, vacancies, and

collection difficulties. Operating expenses may increase beyond the rent levels obtainable by the Company or rental income may decline due to vacancies, which can be the result of improper management or a change in the social patterns in the area.

Results of Operations - Possible Operating Deficits.

Pursuant to this Offering, the Company is raising capital of up to \$11,800,000 payable in full upon subscription. It is not anticipated that the Company will require additional capital beyond that mentioned above, however, there is no assurance that these funds will be adequate. This Offering is based upon projected results, which may be greater than results obtained from actual operations. Actual results may differ adversely for several reasons. Following the purchase, the Company may be subject to rising operating costs, fluctuating vacancy levels, rent collection difficulties, possible rent controls imposed by the government and adverse economic and social events. These factors could also affect the operation of the Company. If operating income is substantially less than projected, and additional cash requirements are necessary and such funds are not provided by the Members or by outside financing, the Project could go into default and be foreclosed. (See "USES OF FUNDS".)

If additional capital is needed, the Manager may seek additional capital contributions from the Company, and/or the other Members. If they fail to contribute sufficiently, the Manager expects to sell interests in the Company to new Prospective Investors or other investors, which would result in dilution of the interest of the existing Members. The Class B Member may loan funds to the Company from time to time on an interest only basis with principal payments deferred. Any such loans will bear interest at the rate of 10% per annum with interest accrued monthly in arrears. The Manager may also procure additional funds through loans from an affiliate or outside sources.

Risk of Financing and Potential Foreclosure on Mortgage Loan

A mortgage loan secures the Property. The risk of foreclosure can arise from, among other things: (i) the failure of the Property at any time to maintain revenue levels sufficient to meet expenses and mortgage amortization (specially, but not limited to, during an economic downturn), and (ii) the failure by the Company to meet any of the other various conditions existing in the mortgage loan documents. Payment of principal and interest on the mortgage loan will be due monthly. It is anticipated that these payments will be met from income generated by the Property. No assurance can be given that the Property will generate sufficient income to meet the monthly payments.

Dependence Upon Issuer

The Manager has full discretion in the management of the Property and in the management and control of the affairs of the Company, including the authority to sell less than all or substantially all the Company's assets for whatever consideration it deems appropriate. Except upon the sale of all or substantially all the Company's assets, the sale of such assets will not result in the dissolution of the Company. The sale of all or substantially all the Company's interests will result in the dissolution of the Company. The success of the operations of the Company will be dependent in large measure on the judgment and ability of the Manager.

Reliance on Manager for the Management of the Property

The Manager is vested with the exclusive authority as to the management and conduct of the business and affairs of the Company. The success of the Company depends largely upon the management

decisions made by the Manager. The Company will be dependent upon the experience and expertise of the Manager in Project business activities. In the event the Manager cannot serve as manager for the Company for any reason, experienced management may not be readily available, and the Company may be negatively affected. The Company does not expect to obtain a "key man" life insurance policy for the principals of the Manager.

Uninsured Losses; Cost of Insurance

Although the Manager may arrange for certain insurance coverage to the extent that doing so is reasonable, costs of insurance may escalate beyond those anticipated, or certain kinds of losses may be uninsurable or may exceed available coverage. In the event of an uninsured loss, Members may recognize a loss of all or a portion of their investment. Manager may also obtain errors and omissions insurance that the Company may proportionally pay for to cover any errors and omissions by the Manager in connection with the Property and/or Project.

Financing Requirements

The Company's investment in the Property will depend, in part, upon the successful acquisition and/or assumption of debt financing secured by the specific Property prior to the close of escrow. There can be no assurance that such financing can be obtained, or that it can be obtained on favorable terms. There is always a risk that the lender may ultimately lend at a higher interest rate or at a lower amount, which would increase the amount of money that the Company would need to raise and therefore could affect returns. Additionally, if the proceeds from this Offering and the initial debt financing source identified and/or acquired by the Manager are not sufficient to purchase the Property, the Manager may, in its sole discretion, seek financing from other sources including but not limited to loans from Members and/or Affiliates, Hard Money Loans, Bridge Loans or other alternative sources. Such additional financing may be secured by the Property and may also command high interest rates relative to the market rates. If this were to occur, it could affect overall returns to Members due to the increased debt service payments. Furthermore, the risk of foreclosure could be increased if net income from the Property was not sufficient to cover the additional debt service payments.

Construction Cost Increase

The estimated total cost for improvements of the Property may increase due to unforeseen circumstances including but not limited to labor shortages and productivity issues, health and safety hazards, subcontractor default and change orders, and subcontractor supplies and equipment price increases. In such an event Company may not obtain its forecasted Net Cash Flow and Prospective Investors would not receive their targeted returns.

Securities Risks

This Offering has not been registered and relies on an exemption to registration

This Offering has not been registered under the Securities Act of 1933, as amended, in reliance on the exceptive provisions of section 4(a)(2) of the 1933 Act and Regulation D promulgated thereunder. Similar reliance has been placed on exemptions from securities registration requirements under various state securities laws. There is no assurance that the offering presently qualifies or will continue to qualify under such exceptive provisions due to, among other things, the adequacy of disclosure, the manner of distribution of the offering, the existence of similar offerings conducted by the Company, or the retroactive change of any securities or regulations. If suits for rescission are brought against the

Company under the Act or laws, both capital and assets of the Company could be adversely affected. Further expenditure of Company time and capital in defending an action by investors, the Securities Exchange Commission, or state regulators, even if the Company is ultimately exonerated, could adversely affect the Company's ability to profitably operate the Property.

Limited Transferability

Because of the restrictions on subsequent transfer imposed by the exemptions to registration that the Company is relying on, the Units may not be subsequently sold, assigned, conveyed, pledged, hypothecated, or otherwise transferred by the holder thereof, whether for consideration, except in compliance with the Act and applicable state securities laws. The Prospective Investor will receive restricted securities that, generally, will require a minimum hold period of twelve (12) months. There will be no public market for the Units following termination of this Offering and it is not expected that a public market for the Units will ever develop.

In addition, the Operating Agreement places restrictions on the transfer or assignment of the Units. Any Member who desires to transfer a Unit in the Company in accordance with the terms of the Agreement will nevertheless be prohibited from transferring said Unit except in compliance with all applicable federal and state securities laws. Accordingly, Members of the Company should be prepared to remain Members until the termination of the Company.

Lack of Liquidity

There is no present market for the Units, and no such market is anticipated. Further, there can be no assurance that a market for the Units will develop or, if such market develops that it will continue. Further, there are restrictions on transfer of the Unit if a market develops for the Company's Units. Accordingly, an investment in the Units will not be liquid and there can be no assurance that the Units offered hereby can be resold at or near the Offering price and, in fact, purchasers of the Units may be unable to resell them for an indeterminate period.

Purchase of Units by Sponsor

In the event all Class A Units are not sold by closing of the Offering, Sponsor or its Affiliates may, but is not obligated to, purchase any unsold Class A Units, as a placeholder, which will then be continued to be offered by the Company after the close of the Offering. These purchases, if they occur, will be on the same terms and conditions as any other Investor for investment and not for resale. As unsold Class A Units are sold, Sponsor or its Affiliates shall have the right to redeem the purchased units for the same purchase price.

Special Risks of the Company Form and Membership Units

Liability for Return of Capital Contribution

Under Federal and/or State law, a Member who receives a return of any portion of the capital contribution to the Company may be liable to Company for the amount of the returned portion of the capital contribution, plus interest only to the extent necessary to discharge the Company's liabilities to creditors who extended credit to the Company or whose claims arose during the period the returned portion or capital contribution was held by the Company.

No Right to Manage

A Member is not permitted to take any part in management or control of the business or affairs of the Company except as specifically provided for in the Operating Agreement. The Agreement vests exclusive control and management of the Company in the Manager as a result of which, the Members have no right to participate in the management of the Company except for only those matters which are specifically reserved in the Agreement to require a vote of the Members. Accordingly, the Company will be totally dependent on the Manager and its Affiliates to manage the business of the Company. Accordingly, the success of the Company's business will depend in large upon the expertise of the Manager. Removal of the Manager is permitted only under certain limited conditions as set forth in the Agreement.

Limitation of Manager's Liability

The Manager, its Affiliates, officers, shareholders, directors, employees, and agents will not be liable to any Member, and the Company will indemnify the foregoing against any and all liabilities, or damages, including attorney fees incurred by them by virtue of the performance any of them of the duties of the Manager acting as Manager in connection with Company's business, so long as such person acted within the scope of its, his, or her authority and in good faith on behalf of the Company, but only if such course of conduct does not constitute gross negligence, fraud, and/or willful or intentional misconduct. Under the terms of the Operating Agreement, the Manager, its Affiliates, and their officers, shareholders, directors, employees, and agents will not be liable for any loss or damage to Company property caused by any occurrence beyond the control of the Manager. A Member may have a limited right of action against the Manager than would be available absent indemnification provisions contained in the Agreement.

No Business Appraisal of the Units

The Offering price per Unit was unilaterally and arbitrarily determined by the Manager based upon acquisition costs, estimated operating expenses, estimated fees to be paid and estimated offering expenses. However, the Manager believes the purchase price to be on competitive terms.

No Assurance of Return of Invested Capital

Any return to the Members on their capital contribution will be dependent upon the ability of the Manager. Such ability will be determined in part, upon economic factors and conditions beyond the control of the Manager.

Adequacy of Capital and Reserves

An adequate amount of capital is necessary for success of the Company. In the event there are cost overruns or delays, further capital may be necessary.

Tax Risks

General

There is no general explanation of the federal income tax aspects of investment in the Company contained in this Memorandum. No representation or warranty of any kind is made by the Manager, the Company, counsel to the Manager or the Company with respect to any tax consequences relating to the Company, or the allocation of taxable income or loss set forth in this Memorandum or the Operating Agreement and each Prospective Investor should seek his own tax advice concerning the purchase of a Membership Unit.

Suitability of the Investment to the Investor

It is expected that the Company will produce taxable income to its Prospective Investors. Because of the 1986 Reform Act, in the event a taxable loss is produced by the Company in any year, such loss will be available to a Prospective Investor only to the extent of the Prospective Investor's passive income from other sources. Unutilized tax losses may be carried forward into subsequent years to offset future passive income or offset taxable gain upon disposition of the Company's assets.

Federal Income Tax Risks

Necessity of Obtaining Professional Advice. THERE IS NO GENERAL EXPLANATION OF THE FEDERAL INCOME TAX ASPECTS OF INVESTMENT IN THE COMPANY CONTAINED IN THIS MEMORANDUM, AND ACCORDINGLY, EACH INVESTOR IS URGED TO CONSULT SUCH INVESTOR'S OWN TAX INVESTMENT AND LEGAL ADVISORS WITH RESPECT TO SUCH MATTERS AND WITH RESPECT TO THE ADVISABILITY OF INVESTING IN THE COMPANY. The income tax consequences of an investment in the Company are complex, subject to varying interpretations, and may vary significantly between Prospective Investors depending upon such personal factors such as sources of income, investment portfolios and other tax considerations. Prospective Investor should consider with Prospective Investor's professional advisors the tax effects of Prospective Investor becoming a Member. Each Prospective Investor should, at Prospective Investor's own expense, retain, consult with, and rely on Prospective Investor's own advisors with respect to the tax effects of Prospective Investor's investment in the Company. In addition to considering the federal income tax consequences, each Prospective Investor should also consider with Prospective Investor's own advisors the state and local tax consequences of an investment in the Company.

No representation or warranty of any kind is made by the Manager, the Company, counsel to the Manager or the Company with respect to any federal, state or local tax consequences resulting from an investment in the Company, and no assurances are given that any deduction or other federal income tax benefits will be available to Members in the Company in the current or future years relating to the Company, or the allocation of taxable income or loss set forth in this Memorandum or the Operating Agreement.

i *Tax Law Changes.* The existence and number of particular credits and deductions, if any, claimed by the Company may depend upon various determinations and allocations, characterizations of payments, and other matters which are subject to potential controversy on factual as well as legal grounds. Changes in the tax code and official interpretations thereof after the date of this Memorandum may eliminate or reduce any perceived tax benefits from an investment in the Units. There can be no assurance that regulations having an adverse effect on the Members will not be issued in the future and enforced by the courts. Any modification or change in the tax code or the regulations promulgated thereunder, or any judicial decision, could be applied retroactively to any investment in the Company. In view of this uncertainty, Prospective Investors are urged to consider ongoing developments in this area and consult their advisors concerning the effects of such developments on an investment in the Company in light of their own personal tax situations.

ii *Absence of Ruling or Opinion.* The Company will not seek a ruling from the IRS or an opinion of counsel with respect to any tax matters described in this Memorandum.

iii *Risk of Audit.* Information returns filed by the Company are subject to audit by the IRS. An audit of the Company's returns may lead to adjustments of a Member's return with respect to items other than those relating to the Member's investment in the Company, the costs of which would

be borne by the affected Members. The tax treatment of items of partnership income, loss, deductions, and credits is determined at the partnership level in a unified partnership proceeding, and Steeve Breton as the "Tax Matters Member" of the Company, may, under certain circumstances, represent and bind all of the Members. Any adjustment made to the Company's or a Member's return could result in the affected Members being subject to an imposition of interest, additional taxes, and penalties.

Investment by Tax-Exempt Entities

Tax-exempt entities, such as pension funds and individual retirement accounts, generally are exempt from taxation except to the extent that "unrelated business taxable income" ("UBTI") and "unrelated debt financed income" ("UDFI") (determined in accordance with Sections 511- 514 of the Code) exceeds \$1,000 during any tax year. A tax-exempt entity may have UBTI and/or UDFI from businesses in which it owns an interest. In addition, it may have UBTI and/or UDFI if a partnership in which it has an interest (i) owns "debt-financed property", that is, the property in which there is "acquisition indebtedness" (in accordance with Section 514(d) of the Code), and the partnership earns interest income from the debt-financed property or realizes gains or losses from the sale, exchange or other disposition of the debt-financed property, or (ii) regularly carries on a trade or business. In addition, UBTI and/or UDFI may be generated when an IRA holds an interest in real estate which obtained financing (such as the case with the Company). The portion of the profit realized through the debt financing may be subject to UBTI and/or UDFI tax. The Company expects that all or substantially all the Company's income will constitute UBTI and/or UDFI with respect to a tax-exempt entity. The Code does not impose restrictions on the acquisition of interests in partnerships, such as the Company, by tax-exempt entities. However, the acquisition of such an interest may result in a tax- exempt entity being subject to UBTI and/or UDFI. *If you are investing through an IRA, please consult your accountant and financial consultant for an evaluation of UBTI and/or UDFI as applied to your investment.*

Business Plan Disclosures

General

The Business Plan attached as **Exhibit "C"** contains numerous forward-looking statements and financial projections and forecasts. These estimated projections are based on numerous assumptions and hypothetical scenarios and Sponsor explicitly disclaims any representation or warranty of any kind, express or implied, with respect to any financial projection or forecast delivered in connection with the Offering or any of the assumptions underlying them. Such projections are forward-looking statements and involve known and unknown risks, uncertainties, and other factors that may cause actual results to differ materially from those projected.

Rent Percentage Increase and Occupancy Percentage

Upon purchasing the Property, strategies for improving operating expenses and tenant renewal rate will be executed immediately upon purchase to improve the Net Cash Flow of The Property. There are no assurances that the Property will attain the rent increase or occupation levels the Sponsor anticipates, especially in the event of any real estate or economic slowdown. In fact, it is possible that in a real estate or economic downturn, rents and occupancy rates may decrease.

The Market

The Business Plan makes several claims relating to the town of Elizabethtown, County of Hardin, State of Kentucky, including job growth and economic strength. There can be no guarantee that such conditions will remain favorable or that the favorable market conditions-if they continue- will ensure the success of the Property and/or the Company.

Past Performance is No Indication of Future Success

In many instances, Sponsor has addressed in its Business Plan (attached as **Exhibit “C”**) prior performance of assets, markets, population growth and/or experience, including Sponsor’s successful prior track record. Although important for purposes of evaluating the Sponsor and market, past performance is not an indication of future success and there are no assurances that this investment will mirror any past performance.

CONSULT YOUR OWN ATTORNEY, ACCOUNTANT AND/OR FINANCIAL CONSULTANT FOR AN EVALUATION OF THE MERIT OF AND THE RISK INHERENT IN THIS INVESTMENT. EACH PROSPECTIVE INVESTOR IS RESPONSIBLE FOR ANY FEES OR CHARGES INCURRED IN CONNECTION WITH SUCH AN EVALUATION.

DISTRIBUTIONS TO MEMBERS

This Memorandum contains estimates which have been prepared based on assumptions and hypotheses favorable to Prospective Investors solely for the purpose of illustration and which have not been passed on by counsel or other professional advisors to the Company. (See “RISK FACTORS.”)

No representation or warranty of any kind is or can be made with respect to the accuracy or completeness of, and no representation or warranty should be inferred from, these estimates or the assumptions underlying them.

Each Prospective Investor should consult their own tax counsel, accountants, and other advisors as to the tax matters and economic benefits set forth herein. No part of this Memorandum or the attachments hereto is, or should be interpreted as legal, tax or investment advice.

Limitations on Cash Distributions.

The Manager is authorized to retain funds necessary to cover the Company's reasonable business needs, which may include reserves against possible losses and expenditures as may be necessary.

Allocations of Taxable Income, Gains and Losses from Operations, and Net Cash Flow, Etc.

To the extent advantageous to the Members and permitted by applicable law and regulations, the Company and Manager intend to seek the most favorable tax treatment for all expenditures of the Company. The Manager will cause the Company’s tax returns to be prepared and filed on such basis as utilized in preparing the financial projections; provided, however, that such methods are, in the opinion of the Manager, in accordance with generally accepted accounting principles and/or current Internal Revenue Service Rules and Regulations and, if conflicting, whichever the Manager deems applicable.

In the event of a transfer of a Unit permitted by the Operating Agreement, such transferee, when admitted to the Company as a Member, shall be allocated income, gains, losses, deductions, credits, and cash distributions in accordance with his Unit.

For specific distributions and allocations, please see OFFERING section above.

NO TAX RULING

The Company will not seek a ruling from the Internal Revenue Service (the "IRS") as to any aspects of the Offering and will rely on the opinion of the Manager and its legal counsel with respect to its classification as a limited liability company for federal income tax purposes. (See "RISK FACTORS - TAX RISKS.")

OPERATING AGREEMENT

Each Prospective Investor will be admitted as a Class A Member of the Company pursuant to the terms of the Operating Agreement, which will be executed, upon the admission of the first Member to the Company, by the Manager(s). Various references to the Operating Agreement are contained in this Memorandum, but such references do not purport to be complete descriptions of the provisions of the Agreement. Prospective Investors and their advisor(s) should read the entire Operating Agreement.

CONFLICTS OF INTEREST

The Company is subject to various substantial existing and/or potential conflicts of interest arising out of its relationship with the Manager and/or its Affiliates. These conflicts may involve:

Allocation of Manager's Activities

- (a) The Manager and/or its Affiliates are not required to devote themselves exclusively to the affairs of the Company. Further, the Manager and its Affiliates may own real estate in the same asset class or market as the Property. The Manager and/or its Affiliates may have a conflict of interest in the ownership of these other properties and in allocating management, services and functions between this Company and their other present and future interests. The Manager and/or its Affiliates believe that they have sufficient time and staff to be fully capable of discharging their responsibilities to the Company and to any other present or future activities.
- (b) The Manager and/or its Affiliates serve and may serve in such capacity in other limited partnerships, limited liability companies, corporations or entities which will compete with the activities of the Company. These capacities include, but are not limited to, entities that are owned by other passive investors like the Prospective Investor(s). The Manager and/or its Affiliates may have conflicts of interest in allocating management, time, services and functions between other limited partnerships or ventures and this Company as well as any future limited partnerships or limited liability companies. The Manager believes that, together with its Affiliates and any employees or agents which may be retained in the future, it has sufficient staff to be fully capable of discharging its responsibilities to this Company and any other present or future limited partnerships, limited liability companies, corporations or entities.
- (c) The Manager and/or its Affiliates has and may in the future, raise capital for other entities that include investors who are not Prospective Investors.
- (d) The Manager and/or its Affiliates may be entitled to fees and compensation based upon certain factors and transactions, including a portion of any income produced by the Company. These fees and compensation may create incentives which may conflict with the interest of the Members.

Compensation to Manager

This Offering involves compensation or benefits to the Manager and Affiliates and for-profit participation. The compensation was not selected by arm's length methods, but Manager believes that the fees that the Company intends to pay are reasonable, considering the tasks and risks undertaken, and will result in substantial benefits to the Class A Members. The Manager and/or its Affiliates may have conflicts of interest as decisions may be influenced by the desire to earn the compensation.

Lack of Independent Counsel

The prospective Class A Members, Class B Member, Manager, and the Company have not had separate legal counsel in connection with the formation of the Company, the acquisition of the Property and the offering of the Units; nor have the Class A Members been represented in preparation of the Operating Agreement. Each party acknowledges this potential conflict of interest and has been advised of their right to seek independent legal counsel. By executing this Agreement, each party voluntarily waives any conflicts arising from the lack of separate representation. Therefore, the terms of such arrangements have not been determined on an arms-length basis. Class A Members should seek the advice of their own counsel.

Liability of Members and Manager

Applicable state law and the Operating Agreement provide that the debts, obligations and liabilities of the Company, however or wherever arisen or derived, shall be solely those of the Company, and no Member of the Company shall be personally liable for the same to third parties solely by reason of his or her status as a Member, and that the failure of the Company to observe any formalities or requirements relating to the exercise of its powers or management of its business or affairs shall not be grounds for imposing personal liability on Members for liabilities or obligations of the Company.

The Agreement provides that no contract, action or transaction is void or voidable with respect to the Company because it is between or affects the Company and one or more of its Members, managers, or officers or because it is between or affects the Company and any other person in which one or more of its Members, managers or officers are Members, managers, directors, trustees, or officers or have financial or personal interest, or because one or more interested Members, managers or officers participate in or vote at the meeting that authorizes the contracts, action, or transaction, provided certain circumstances apply.

STANDARD OF CARE; INDEMNIFICATION

Standard of Care of Manager. Fiduciary rules provide that manager of a limited liability company shall perform their duties as managers in good faith, in a manner they reasonably believe to be in or not opposed to the best interests of the Company, and with the care that an ordinarily prudent person in a similar position would use under similar circumstances. This is in addition to the Manager's duty of disclosure and duty of loyalty and several duties and obligations of and limitations on the Manager as set forth in the Operating Agreement.

To impose liability on a manager, however, it must be shown by clear and convincing evidence that the standard of care was not met by the Manager. It should be noted that the cost of litigation against any Manager for enforcement of the standard of care may be prohibitively high and that any judgment obtained may not be collectible since the Manager is not bonded and any judgment exceeding their net worth or errors and omissions insurance may not be collectible. An investment decision should be based on the judgment of a Prospective Investor as to the investment factors described in this Memorandum rather than reliance upon the value of the

right to bring legal actions against or to control the activities of the Manager.

Notwithstanding the standards of care obligations, the Manager has broad discretionary power under the terms of the Operating Agreement and under applicable state law to manage the affairs of the Company with the assistance, if desirable, of consultants or others retained for the account of the Company or the Manager. Generally, actions taken by the Manager is not subject to vote or review by the Members, except to the limited extent provided in the Agreement.

Indemnification. The Operating Agreement provides that the Company may, subject to KRS 275.180 and to the fullest extent not prohibited by the Operating Agreement of the Company or any provisions of applicable law, indemnify the Manager against any and all costs and expenses (including amounts paid in settlement, and other disbursements) actually and reasonably incurred by or imposed upon such person in connection with any action, suit, investigation or proceeding (or any claim or other matter therein), whether civil, criminal, administrative or otherwise in nature, including any settlements thereof or any appeal therein, with respect to which the Manager is named or otherwise becomes or is threatened to be made a party by reason of being or at any time having been a Manager of the Company or, at the direction or request of the Company, a manager, director, trustee, officer, employee, or agent of or fiduciary for any other limited liability company, corporation, partnership, trust, venture, or other entity or enterprise.

Because there are provisions in the Operating Agreement for indemnification of the Manager, purchasers of Class A Units may have a more limited right of action than they would have absent such provision in the Agreement. Insofar as indemnification for liabilities arising out of the Securities Act of 1933, as amended, may not be provided to directors, officers and controlling persons pursuant to the foregoing, or otherwise, the Manager has been advised that in the opinion of the Securities and Exchange Commission, such indemnification is contrary to public policy and is, therefore, unenforceable.

RESTRICTIONS ON TRANSFER

The Units have not been registered under the Securities Act of 1933, as amended (the "Act") or under applicable Kentucky securities laws. The Units are being offered and will be sold in the absence of any registration under the Act and Kentucky securities laws, by reason of an exemption under Section 4(a)(2) and/or Regulation D promulgated under the Act and corresponding Kentucky exemptions. The availability of such exemption is dependent, in part, upon the "investment intent" of each Investor and will not be available if any Accredited Investor purchases a Unit with a view toward its distribution. Accordingly, each Accredited Investor will be required to acknowledge that his purchase is being made for investment, for his own record and beneficial account, and without any view to the distribution thereof. A Unit may not be resold by a Member unless and until it is subsequently registered under the Act and applicable state securities laws or unless appropriate exemptions from registration are available.

Accredited and Non-Accredited Investors have not been, and will not be, granted the right to require the registration of the Units under the Act and applicable state securities laws. Moreover, the Company has no intention to register the Units under federal securities laws (or to take any action to make exemptions from registration on resale or transfer available to the Accredited Investor(s) and, in view of the nature of the transaction, it is highly unlikely that there will be any such registration (or such action taken) at any time in the future. Accordingly, an Investor must bear the economic risk of an investment in a Unit for an indefinite period. If a Member wishes to dispose of his Units in a transaction not requiring registration under the Act and applicable state securities laws, such disposition is governed by, among other things, the terms of the Operating Agreement.

Finally, no sale, exchange or other transfer or assignment of the whole or any portion of a Unit will be permitted without the prior written consent of the Manager, which consent will be withheld if (a) all applicable

federal and state securities laws and regulations with respect to transfers of securities, including but not limited to the Act and the Securities and Exchange Act of 1934, as amended, are not complied with to the satisfaction of the Manager, or (b) in the sole opinion of counsel to the Company there will be adverse consequences to the Company or any of the non-transferring Members under any applicable federal, state or local income tax laws or regulations, or (c) for any other reason in the sole discretion of the Manager.

FURTHER INVESTIGATION

Statements contained in this Private Placement Memorandum as to the contents of the Operating Agreement, or other documents, are not necessarily complete and each such statement is deemed to be qualified and amplified in all respects by the provisions of such agreements and documents, copies of which are either attached hereto or are available upon reasonable notice for examination by offerees, or their duly authorized representatives, addressed 9360 Federal Blvd., Federal Heights, Colorado 80260. The Operating Agreement is set forth in its entirety as **Exhibit “A”** to this Private Placement Memorandum, and each offeree is urged to review this document carefully. Each offeree and his business and/or tax advisors are urged to examine all agreements and documents.

HOW TO SUBSCRIBE FOR CLASS A MEMBERSHIP UNITS

Accredited, and no more than 35 non-accredited, investors have received Offering Documents containing the following documents which the Subscriber should complete, date, execute, acknowledge (where required) and deliver to the Manager:

- 1. The Operating Agreement, Investor Questionnaire Agreement (includes the Subscription) and Business Plan (attached hereto as Exhibits “A”, “B” and “C”, respectively); and**
- 2. A check or wire transfer made in accordance with the instructions to be provided by Sponsor.**

The Manager, in its sole discretion, may accept subscriptions for Class A Membership Units in amounts that are less than the minimum. Subscriptions may be accepted or rejected by the Manager in its sole discretion. If a Prospective Investor's subscription is rejected, his or her subscription payment will promptly be returned.

Prospective Investors may not withdraw subscriptions tendered to the Company other than as provided in the Subscription Agreement.

EXHIBIT “A”

OPERATING AGREEMENT OF THE COMPANY

SCHEDULE "1"

Percentage Interests

Name of Member:

Percentage Interest:

Class A Members

The Percentage Interest of the Class A Members shall be 80%

Class B Member

The Percentage Interest of the Class B Member shall be 20%

SCHEDULE "2"

Initial Manager(s):

NAME:

CS3 MANAGEMENT LLC

ADDRESS:

9360 Federal Blvd., Federal Heights, Colorado 80260

EXHIBIT “B”

INVESTOR QUESTIONNAIRE AND SUBSCRIPTION

EXHIBIT "C"

BUSINESS PLAN

The strategy includes leasing property at market rates of \$1550 per unit average at present 90%+ occupancy in year one with yearly 4 to 4.5% increases, and then value added services for additional potential income streams to include, but not limited to, amenity fees, short term and corporate furnished rental units that may add additional Property value, subject to market conditions.

This strategy should generate an estimated 5-7% cash on cash return to investors. As value of the property increases Sponsor will seek to refinance the property in years 4-5 and return 50-75% of the capital to investors from the refinance proceeds subject to interest and market conditions.

The Manager believes such improvements will allow the Company to command higher rents commensurate with rents of comparable properties in the area thereby increasing the Property's resale value. The Company plans to operate the Property for approximately seven (7) to ten (10) years (or at a time when the Manager believes it will be advantageous to the Members); after which the Company will sell or refinance the Property.

MEMBER SIGNATURE PAGE
FOR WINDING SPRINGS INVESTORS LLC

The undersigned Member hereby agrees to make the investment set forth below and executes the Amended and Restated Limited Liability Company Agreement of WINDING SPRINGS INVESTORS LLC (the “**LLC Agreement**”), for the purpose of admitting the undersigned as a Member into WINDING SPRINGS INVESTORS LLC, a Wyoming limited liability company (the “**Company**”), and hereby authorizes attachment of this signature page to a counterpart of the LLC Agreement executed by the Manager of the Company.

Investment Amount: \$_____

FOR INDIVIDUALS

Signature

Signature of Spouse, if any

Print Name

Print Name of Spouse

Social Security No.

Social Security No. of Spouse

Residence Address (not P.O. Box)

Mailing Address (if different)

City State Zip

City State Zip

**FOR CORPORATIONS, LIMITED LIABILITY COMPANIES,
PARTNERSHIPS OR TRUSTS**

Print Name of Entity

Taxpayer ID No. of Entity

Signature of Person Authorized to Sign for Entity

Principal Office Address

Printed Name and Position of Person Authorized
to Sign

City State Zip